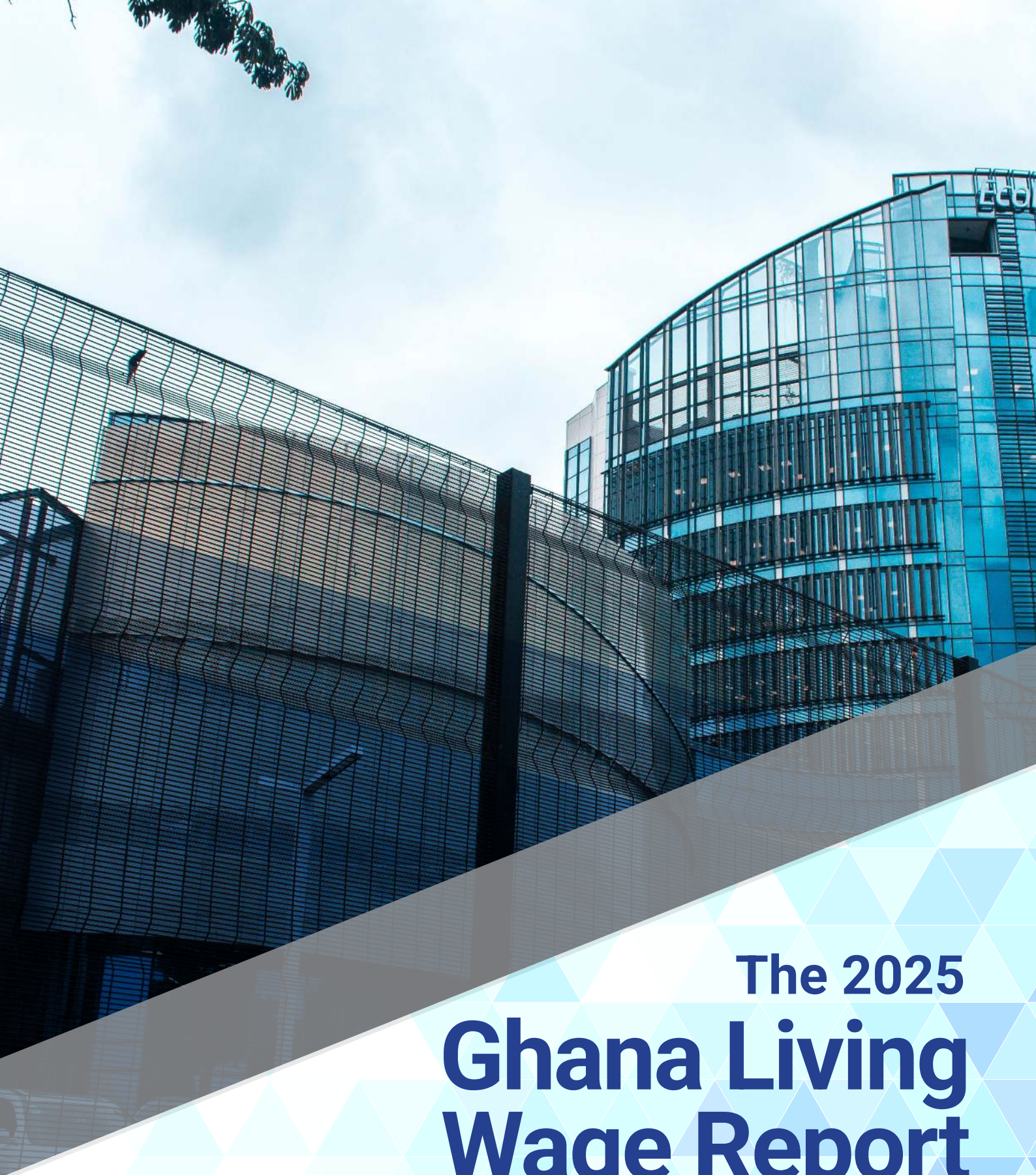


The 2025 Ghana Living Wage Report

Second Edition

Compiled By L'AINE HR



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Finally, thanks go to the employers, jobseekers and workers whose anonymised records form the evidence base of this study.



Abstract

This report estimates the monthly income required for a single graduate entry-level worker to maintain a basic but decent standard of independent living in four Ghanaian urban centres: Accra/Tema, Takoradi, Kumasi and Cape Coast. It compares that benchmark with salary expectations, actual earnings and the statutory minimum wage. It is the second edition of L'AINE HR's Ghana Living Wage research programme.

The benchmark applies an inflation-updated basket informed by the Anker methodology. It retains the 2024 city baskets and updates each cost category with 2025 official price, transport and tariff evidence. The salary analysis draws on 3,257 anonymous observations (987 jobseeker expectations and 2,270 verified payroll records), supplemented by 2025 Quarterly Labour Force Survey microdata, and uses medians within a range of GHS 1,000 to GHS 5,000.

The 2025 net living wage is GHS 3,840 in Accra/Tema, GHS 2,683 in Takoradi, GHS 2,597 in Kumasi and GHS 2,210 in Cape Coast. Actual net salary falls below the living wage in every city, covering 74.6% to 86.9% of the requirement, while the statutory minimum wage covers 14.0% to 24.4%. Jobseeker expectations meet or exceed the net living wage in three of the four cities, which shows that market acceptance is not the same as wage adequacy. Between 2024 and 2025 the net living wage rose by 16.6% to 17.3% and actual salary by 17.1% to 36.3%. The shortfall widened in Accra/Tema and Takoradi and narrowed in Kumasi and Cape Coast.

The report recommends that employers adopt the net living wage as the adequacy reference, close gaps in phases and use targeted benefits, and that the study continue annually.

Keywords: living wage; minimum wage; entry-level workers; wage adequacy; cost of living; Ghana



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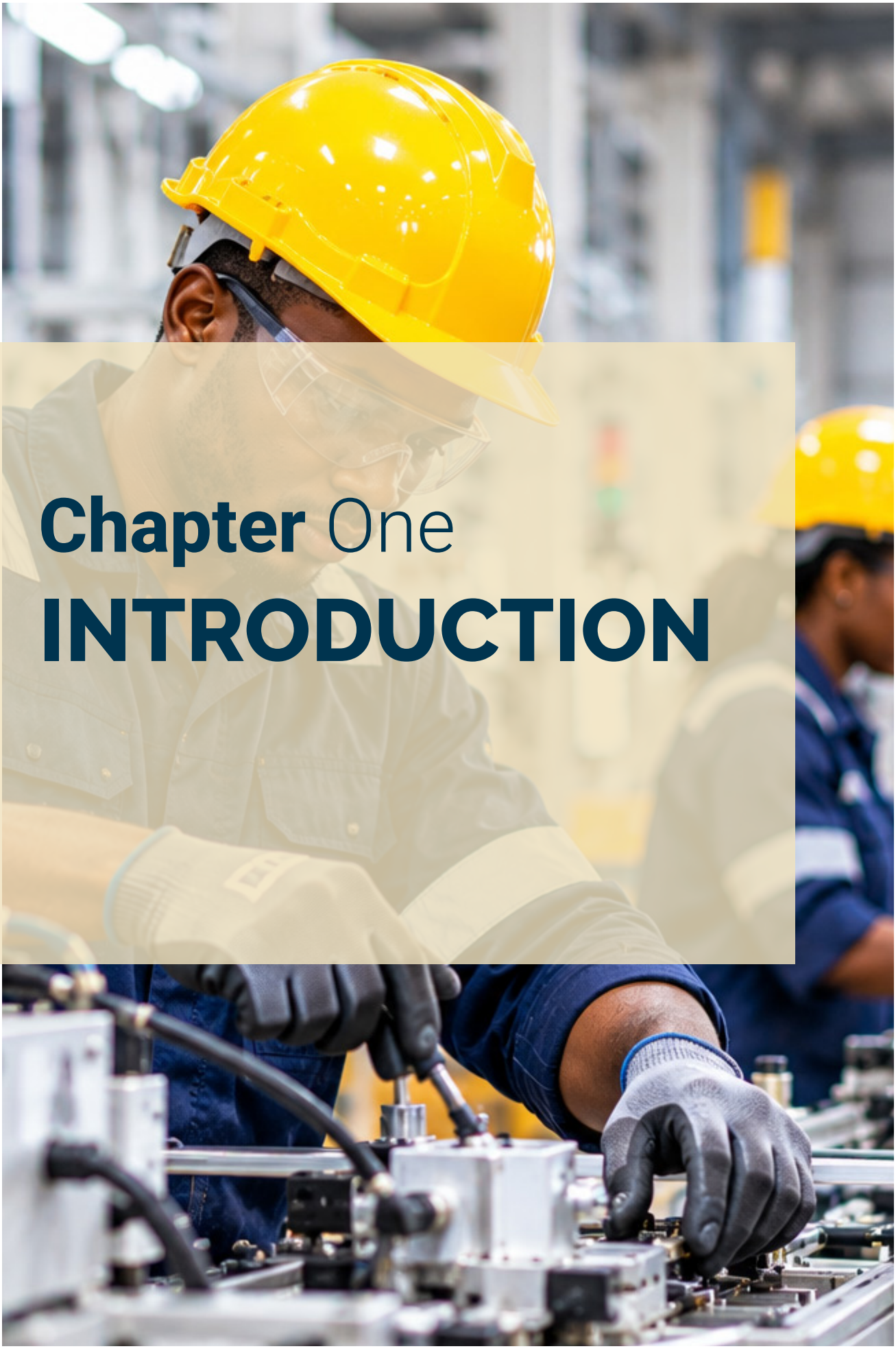
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Chapter One
INTRODUCTION

1.1 Introduction and Background to the Study

Wages sit at the intersection of labour-market efficiency, business sustainability, household welfare and social justice. For workers, wages are the principal means through which paid employment is converted into food, shelter, mobility, healthcare, communication, personal development and protection against unexpected expenses. For employers, compensation is simultaneously a cost, a signal of organisational value, and an instrument for attracting, motivating and retaining talent. The adequacy of wages therefore cannot be assessed solely by whether they comply with a statutory floor; it must also be considered in relation to the actual cost of maintaining a basic but decent standard of living in the worker's location.

The International Labour Organization defines a living wage as the wage level necessary to afford a decent standard of living for workers and their families, taking account of national circumstances and normal hours of work (ILO, 2024b). This differs from a minimum wage, which is a legally enforceable wage floor intended to protect workers from unduly low pay. A minimum wage may contribute to adequate living standards, but it does not automatically equal the income required to meet the real cost of essential needs. The distinction is especially important in economies where price levels vary considerably across cities and where inflation can weaken purchasing power faster than wage structures are reviewed.

The Anker Methodology provides one of the most widely recognised frameworks for estimating a living wage. It calculates the cost of a basic but decent life in a specific place, including nutritious food, adequate housing, healthcare, education and other essential needs, and normally relates that cost to a reference family and the typical number of full-time workers in that family (Anker Research Institute, n.d.; Global Living Wage Coalition, n.d.). The present study is informed by these principles but applies them to a narrower study unit: a single graduate entry-level worker without dependants. This adaptation preserves comparability with the 2024 report and responds to the practical question facing employers and young professionals: what level of net monthly income would allow an independently living entry-level graduate to meet essential urban costs without persistent financial distress?

The 2025 study is the second edition of L'AINE HR's Ghana Living Wage research programme. It preserves the 2024 L'AINE single-adult city basket and updates its components with 2025 price, fare and tariff evidence. The expanded analytical evidence contains 987 anonymous jobseeker salary records and 2,270 anonymous verified payroll or worker-earnings records. The report is intended as an annual empirical reference for employers, HR practitioners, policymakers, labour organisations, researchers and early-career workers.

1.2 Historical Development of the Living-Wage Idea

The moral idea underlying a living wage predates modern labour law. Classical discussions of justice, self-sufficiency and the common good recognised that economic participation should support a life of dignity rather than mere survival. In the industrial era, the concept became more explicit as labour movements challenged wages that left full-time workers in poverty. The principle of an adequate living wage was subsequently reflected in the founding traditions of the ILO and has remained connected to debates on wage policy, poverty reduction and decent work (ILO, n.d.).

Contemporary living-wage advocacy has moved the discussion beyond a uniform subsistence threshold. It emphasises that adequacy is geographically specific, periodically updated and linked to a socially acceptable but modest standard of living. A wage that is adequate in one city may be inadequate in another because rent, commuting, food markets, utilities and access to public services differ. Living-wage analysis therefore serves as a bridge between macroeconomic statistics and the daily financial reality of workers.

1.3 Ghana's Wage-Setting and Labour-Market Context

Ghana's statutory wage-setting system is anchored in social dialogue through the National Tripartite Committee, which brings together government, organised labour and employers. For 2025, the National Daily Minimum Wage was set at GH₵19.97 with effect from 1 March 2025 (Ghana Employers' Association, 2025). Using a 27-working-day monthly conversion, this is approximately GH₵539.19 per month before deductions. The figure is a legal and administrative floor; it is not a city-specific estimate of the cost of living and does not account for the expenditure pattern of a graduate worker living independently in a major urban centre.

The gap between a statutory wage floor and a living-wage benchmark is not, by itself, evidence that the minimum-wage system has failed. The two instruments perform different functions. Minimum wages are negotiated within broader employment, productivity and macroeconomic constraints, whereas living-wage benchmarks begin with the cost of a decent life in a particular place. However, when employers use the statutory minimum wage as the dominant reference point for salary architecture across a wide range of roles, wage structures may become disconnected from the actual financial requirements of workers. This risk is particularly acute for entry-level graduates, who frequently face professional appearance costs, data and connectivity expenses, commuting costs and independent housing obligations at the beginning of their careers.

1.4 Urbanisation, Spatial Inequality and Cost-of-Living Pressures

Ghana's urban transition has increased the economic importance of cities while intensifying pressure on housing, transport and basic services. The 2021 Population and Housing Census recorded a national population of 30.8 million and documented continuing growth in the urban population (Ghana Statistical Service, 2021a; Ghana Statistical Service, 2021b). Urbanisation creates access to jobs, education and markets, but the benefits are unevenly distributed. Workers may obtain employment in economically active centres while simultaneously bearing high rents, long commuting distances, congestion, utility costs and limited access to affordable housing close to workplaces.

These pressures differ across the four study locations. Accra/Tema is Ghana's principal administrative, commercial and corporate labour market, with high demand for rental accommodation and extensive daily commuting. Kumasi serves as a major commercial and distribution centre linking the middle belt and northern markets. Takoradi's labour market is influenced by industrial, logistics, port, energy and oil-and-gas activities, which can create both specialised salary premiums and localised cost pressures. Cape Coast combines public administration, education, tourism and services

and generally presents a lower cost profile, although employment opportunities and wage structures may also be narrower. A single national wage comparator can therefore conceal substantial differences in what workers need to live adequately in each city.

Housing is especially important because young workers may be required to pay several months of rent in advance, converting a monthly affordability problem into a major liquidity constraint. Transport costs are similarly significant because lower-cost housing is often located farther from employment centres. The resulting trade-off means that reducing rent may increase commuting time and expenditure, while living closer to work may require a much higher housing budget. Cost-of-living analysis must therefore treat housing and transport as interconnected rather than isolated expenses.

1.5 Ghana's 2025 Economic and Price Environment

The 2025 wage discussion must be interpreted against the cumulative effect of price increases experienced in preceding years. A reduction in the rate of inflation does not mean that prices have returned to earlier levels; it means that the general price level is increasing more slowly. Households may therefore continue to face affordability stress even during a period of macroeconomic stabilisation, particularly where nominal salaries have not fully adjusted to the accumulated increase in food, rent, utilities and other essential costs.

Ghana Statistical Service evidence supports the 2025 price and labour-market context, informing the category-specific update of the 2024 city baskets and broadening the salary evidence base for 2025 analysis.

The recalculation preserves the 2024 L'AINE single-adult city baskets and applies category-specific 2025 adjustment factors so that food, rent, transport, utilities and other essentials reflect their own observed movements. A five per cent contingency and sustainability margin remains part of the benchmark. The resulting net living wage is compared with jobseeker and verified payroll/earnings salary data, while the exact indicative gross is reported separately.

1.6 The Entry-Level Graduate Worker as the Study Unit

The study focuses on graduate entry-level workers with zero to three years of work experience, including recent graduates, national service personnel transitioning into employment and early-career employees. This group is strategically important because the first years of employment influence career mobility, savings behaviour, skills development and long-term attachment to the formal labour market. Entry-level workers may possess educational qualifications but have limited bargaining power, short employment histories and little accumulated financial resilience.

The analysis assumes one adult worker living independently and without dependants, consistent with L'AINE's 2024 benchmark. It does not convert a multi-person GSS household budget into the living-wage figure. Workers supporting dependants will generally require more than the benchmark, while those sharing accommodation or receiving substantial family support may require less.

1.7 Statement of the Problem

A growing number of graduate entry-level workers in Ghana's urban labour markets face a structural mismatch between earnings and the cost of independent living. The statutory minimum wage provides an important legal floor, yet it is far below the expenditure required for housing, food, transport, utilities, healthcare, communication and basic personal development in the selected cities. At the same time, actual entry-level salaries are not consistently aligned with city-specific living costs.

This mismatch carries real consequences for both workers and employers. When take-home pay persistently falls short of the cost of independent urban living, workers absorb the difference through reduced food quality, delayed healthcare, extended reliance on family support well into their careers, informal borrowing, or a second income stream alongside formal employment.

For employers, the same shortfall surfaces as elevated entry-level attrition, disengagement and difficulty retaining early-career staff once they have gained enough experience to seek better-paying alternatives elsewhere. A wage that is common in the market is not the same as a wage that is adequate, and the distance between the two carries a cost that is ultimately borne by both sides of the employment relationship.

The 2024 edition of this study first identified this pattern, finding that entry-level pay in several of the study cities fell short of the estimated cost of independent living, with the gap most pronounced in Accra/Tema. A single year of measurement, however, cannot show whether such gaps are narrowing, widening or holding steady, nor whether they reflect a temporary dislocation or a structural feature of how entry-level pay is set. Continued annual measurement is therefore necessary: without it, the question of whether entry-level compensation is adequate is left to assumption rather than evidence.

The central problem addressed by this study is therefore the absence of a regularly updated, location-sensitive and empirically grounded benchmark for assessing whether entry-level graduate compensation in Ghana supports a basic but decent standard of independent living. Without such a benchmark, employers may rely on historical salary bands, applicant expectations, competitor practices or statutory minimum-wage adjustments without knowing whether the resulting pay is adequate. Policymakers and labour-market stakeholders similarly lack a practical city-level reference for discussing wage adequacy, workforce welfare and decent work.

1.8 Purpose of the Study

The purpose of the Ghana Living Wage Study 2025 is to estimate the net monthly income required for one entry-level worker to maintain a basic but decent standard of independent living in Accra/Tema, Takoradi, Kumasi and Cape Coast, and to compare this benchmark with combined jobseeker salary expectations, combined actual net earnings and the statutory National Daily Minimum Wage. The study also provides evidence for compensation review, workforce planning, employee-welfare interventions and public dialogue on wage adequacy.

1.9 Scope and Delimitations of the Study

Geographically, the study covers Accra/Tema, Takoradi, Kumasi and Cape Coast. The cities were purposively selected to represent distinct urban labour-market and cost environments. Accra and Tema are analysed together because they form an integrated metropolitan employment and commuting zone. The study does not claim national representativeness for all regions, rural areas or smaller towns.

Demographically, the salary analysis is limited to entry-level workers and jobseekers with zero to three years of experience where that measure is available, applying comparable early-career tenure rules throughout. The living-cost model assumes one adult without dependants. The report does not establish occupation-specific living wages.

Conceptually, the study assesses wage adequacy through essential monthly costs: housing, food, transport, utilities, internet and mobile data, healthcare and personal care, toiletries and household essentials, recreation and professional development, and other or emergency costs. It produces a net living-wage estimate and an indicative gross equivalent. Employer-specific benefits, tax reliefs, bonuses, in-kind support and deductions may change the gross salary required to deliver the benchmark net income.

Temporally, the report focuses exclusively on costs, salary expectations and payroll data associated with the 2025 study period. The 2024 report is used only as a historical and methodological baseline for year-on-year continuity.

1.10 Significance of the Study

For employers and boards, the report provides a location-sensitive reference for reviewing entry-level salary bands, workforce affordability risks and non-cash benefits. It can support decisions on transport allowances, housing support, health benefits, data packages, professional-development support and differentiated regional pay structures. It also helps employers distinguish between market pay and adequate pay: a salary can be common in the market while still failing to meet a reasonable living-cost threshold.

For human resource practitioners, the study offers an evidence base for salary benchmarking, recruitment conversations, retention analysis and employee-experience interventions. Persistent living-wage gaps may contribute to turnover, absenteeism, reduced engagement, financial stress, moonlighting and difficulty attracting qualified candidates. Conversely, compensation that is perceived as fair and adequate can strengthen trust and organisational commitment.

For policymakers, social partners and labour organisations, the study contributes city-level evidence to discussions on decent work, wage-setting and social protection. It supports Sustainable Development Goal 8 on decent work and economic growth and is also relevant to poverty reduction and reduced inequality. The report does not propose that its benchmarks be mechanically converted into statutory minimum wages; rather, it supplies empirical information that can enrich social dialogue and policy design.

For workers and job seekers, the study provides a transparent framework for understanding the relationship between salary expectations and the cost of living. It can improve financial planning and encourage salary discussions that consider both labour-market realities and basic needs.

For researchers, the annual series creates a platform for tracking changes in living costs, wage expectations and actual compensation over time. It also identifies data-quality issues that future studies can address through larger city samples, direct household expenditure surveys and improved payroll classification.

1.11 Research Objectives

The general objective is to determine and assess the adequacy of a city-specific living-wage benchmark for single graduate entry-level workers in selected urban centres in Ghana for 2025.

- To estimate the 2025 net monthly living-wage requirement for a single graduate entry-level worker in Accra/Tema, Takoradi, Kumasi and Cape Coast.
- To identify the major cost components and the extent to which they contribute to differences in living-wage requirements across the four cities.
- To analyse the minimum salary expectations of eligible graduate job seekers in the four study locations.
- To analyse actual net salaries paid to graduate entry-level employees and assess their distribution using robust statistical measures.
- To compare the determined living-wage benchmarks with expected salaries, actual net salaries and the statutory minimum wage.
- To assess the change in living-wage requirements between 2024 and 2025.
- To provide evidence-based recommendations for employers, human resource practitioners, policymakers and social partners.

1.12 Research Questions

1. What net monthly income was required in 2025 for a single graduate entry-level worker to maintain a basic but decent standard of living in each selected city?
2. Which expenditure categories account for the largest share of the living-wage benchmark, and how do these costs differ across cities?
3. What minimum salaries did eligible graduate job seekers expect in 2025?
4. What net salaries were actually paid to graduate entry-level workers in the available payroll data?
5. To what extent do actual salaries and salary expectations cover the determined living-wage benchmarks?
6. How did the estimated living-wage requirements change between 2024 and 2025?
7. What compensation and policy responses could reduce identified wage-adequacy gaps?

1.13 Limitations of the Study

First, the study is based on one independently living adult rather than the reference family used in a canonical Anker study. It is therefore an Anker-informed single-adult benchmark. The 2024 city basket remains the cost foundation, supporting year-on-year continuity, and the salary evidence base has been broadened for 2025.

Second, salary expectations are self-reported and may reflect aspiration, incomplete information or urgent need. Third, the 2025 basket update relies on published price, fare and tariff evidence rather than a new direct household price survey. Fourth, a portion of the salary evidence uses regional urban proxies rather than exact municipal residence: Greater Accra represents Accra/Tema, Western represents Takoradi, Ashanti represents Kumasi and Central represents Cape Coast.

Finally, the study draws on a large pool of salary records, but this is not the same as a formally representative survey of each city's workforce. It also focuses only on pay adequacy, not on other aspects of job quality such as job security, unpaid overtime, workplace safety, social protection or career progression.

1.14 Key Operational Definitions

Living wage: The wage level necessary to afford a decent standard of living, taking account of country circumstances and normal hours of work (ILO, 2024b). In this report, the operational estimate refers to the net monthly income required by a single graduate entry-level worker without dependants in a specified city.

Minimum wage: The legally enforceable minimum remuneration that an employer may pay for work performed during a specified period. Ghana's 2025 National Daily Minimum Wage was GH₵19.97 from 1 March 2025.

Cost of living: The monetary cost of acquiring the goods and services required to maintain a specified standard of living in a particular place and period.

Net living wage: The monthly amount available to the worker after statutory employee deductions and income tax, sufficient to meet the defined living-cost basket and contingency margin.

Indicative gross living wage: The estimated gross salary required to deliver the net living-wage benchmark under the study's SSNIT and PAYE assumptions. Actual gross requirements vary with pay composition, tax reliefs and deductions.

Entry-level graduate worker: A person with a degree, HND, diploma, master's degree or recognised professional qualification and zero to three years of work experience, including relevant early-career and national-service transitions.

Salary expectation: The minimum monthly salary reported by an eligible job seeker as acceptable or desired for employment.

Actual net salary: The employee's payroll income after applicable statutory deductions, as recorded in the payroll dataset.

Wage gap: The monetary or percentage difference between an actual or expected salary measure and the relevant living-wage benchmark.

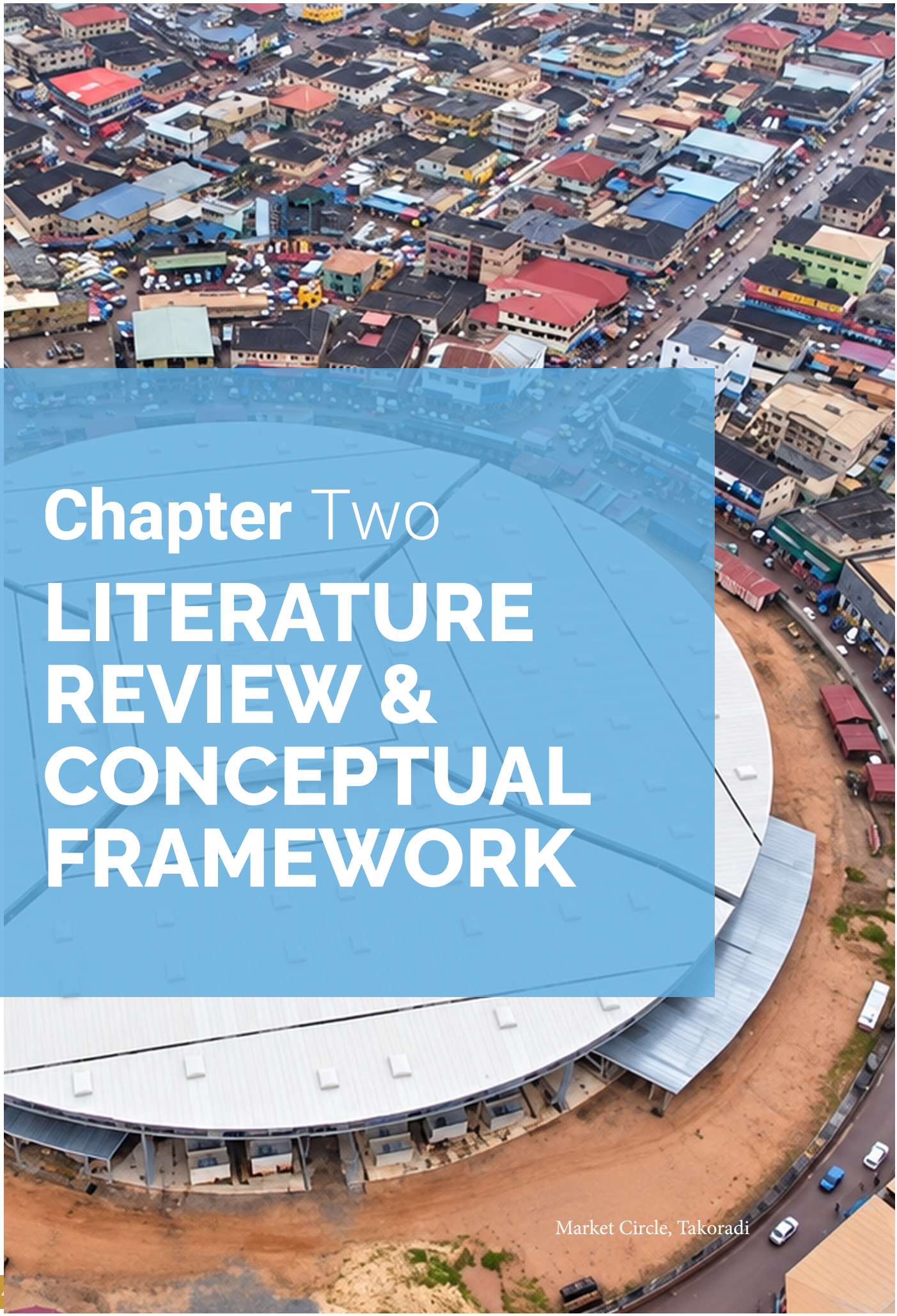
Coverage ratio: Actual net salary divided by the net living-wage benchmark. A ratio below 1.00 indicates that the salary does not fully cover the benchmark.

Winsorisation: A robust statistical treatment that limits extreme observations by replacing values below and above selected percentile thresholds with the values at those thresholds.

Urban centre: For this report, one of the selected city labour markets: Accra/Tema, Takoradi, Kumasi or Cape Coast.



Bonwire Kente Weaving, Kumasi



Chapter Two
LITERATURE REVIEW & CONCEPTUAL FRAMEWORK

Market Circle, Takoradi

2.1 Introduction

This chapter establishes the intellectual and empirical foundation for the 2025 Ghana Living Wage Study. It reviews how the living wage has developed as a normative, economic and policy concept; distinguishes it from statutory minimum wages, prevailing market wages, poverty lines and salary expectations; and examines the principal theories that explain why wage adequacy matters to workers, employers and the wider economy. The review also evaluates major living-wage estimation approaches, including the Anker methodology, the International Labour Organization's 2025 needs-based methodology, reference-budget approaches and inflation-updated baskets. Particular attention is given to the methodological adaptation required for L'AINE HR's city-specific benchmark for a single graduate entry-level worker without dependants.

The chapter is deliberately broader than a conventional description of previous studies. It critically examines the assumptions behind living-wage estimates: the standard of living being costed, the geographical area, reference household, number of earners, treatment of taxes and statutory deductions, valuation of in-kind benefits, and frequency of updating. These assumptions determine what a benchmark means and whether it can be compared with actual payroll data. The chapter further reviews evidence on urban living costs, graduate labour-market transitions, salary expectations, wage inequality and organisational outcomes. It concludes with the research gap and a conceptual framework that links city-specific living costs, candidate expectations and observed net salaries.

2.2 Historical Evolution and Normative Foundations of the Living Wage

The living-wage idea emerged from a longstanding concern that remuneration should be assessed not only by market exchange but also by whether it sustains a dignified human life. Earlier philosophical traditions associated justice with sufficiency, social participation and the ability to live without degrading dependence. During industrialisation, these concerns became more concrete as wage labour expanded while many full-time workers remained poor. Labour movements, social reformers and religious traditions increasingly argued that employment should provide more than biological survival; it should enable workers to participate meaningfully in family and community life (Werner & Lim, 2016).

Modern living-wage campaigns transformed this ethical claim into a measurable benchmark. Rather than asking what employers currently pay, living-wage research asks what a worker must earn in a particular place to afford a basic but decent standard of living. This distinction is important because prevailing wages may be shaped by unemployment, weak bargaining power, informality, discrimination or an oversupply of labour. Market outcomes therefore cannot automatically be treated as evidence of adequacy.

The contemporary international framework was strengthened in 2024 when the ILO's tripartite meeting of experts agreed that living wages should be estimated through evidence-based methodologies using robust data, transparency, consultation with employers' and workers' organisations, and sensitivity to national, regional and local realities. The agreement also emphasised that living wages should be pursued through established wage-setting processes and social dialogue rather than imposed as isolated technical figures (ILO,

2024a, 2024b). In 2025, the ILO published a methodology for estimating the needs of workers and their families for wage-setting purposes, reinforcing the need for explicit assumptions and credible household expenditure evidence (ILO, 2025).

2.3 Defining the Living Wage and Related Concepts

2.3.1 Living Wage

A living wage is the remuneration required for a worker, working normal hours, to afford a decent standard of living in a particular place. The definition usually includes adequate food, housing, water, healthcare, education, transport, clothing, communication, social participation and a modest provision for unforeseen events. The defining features are therefore adequacy, geographic specificity, normal working time and a stated household unit. A living wage is not simply a higher minimum wage; it is a needs-based estimate that can be used to inform wage policy, collective bargaining and employer compensation decisions (Anker & Anker, 2017; ILO, 2024b).

2.3.2 Minimum Wage

A minimum wage is the lowest remuneration that an employer is legally permitted to pay for covered work. It is established through law or an authorised wage-setting mechanism and is intended to protect workers against unduly low pay. Minimum wages may consider inflation, productivity, employment, enterprise sustainability and social needs, but the final amount is typically negotiated within political and economic constraints. Consequently, a national minimum wage may be an essential protective floor without being sufficient to meet the full cost of decent living in every city.

2.3.3 Prevailing or Market Wage

The prevailing wage is the remuneration commonly paid for comparable work in a labour market. It reflects employer demand, labour supply, industry profitability, qualifications, occupational scarcity, bargaining institutions and established salary structures. A market wage can exceed the legal minimum while remaining below the living wage. This occurs where labour-market pressures suppress pay or where living costs rise faster than salary adjustments. Salary benchmarking therefore answers what organisations pay, whereas living-wage analysis asks whether that pay is materially adequate.

2.3.4 Fair Wage, Reservation Wage and Salary Expectation

A fair wage is a broader evaluative concept involving internal equity, external competitiveness, contribution, effort and social norms. A reservation wage is the lowest amount at which a worker is willing to accept employment. A salary expectation is the amount a candidate reports as desired or minimally acceptable remuneration. These concepts may overlap, but they are not identical. A candidate may state an expectation below the living wage because of unemployment pressure, limited information or urgent financial need. Conversely, an expectation may exceed the living wage because it incorporates returns to education, occupational aspirations or anticipated career progression.

2.3.5 Poverty Line and Cost of Living

A poverty line identifies a threshold below which individuals or households are classified as poor. It is designed for poverty measurement and social policy, not necessarily to define a decent standard for full-time workers. A living wage is usually higher because it incorporates decent housing, social participation, resilience and normal employment-related costs. Cost of living refers to the prices of goods and services needed to maintain a stated standard in a place and period. It is an input into a living-wage calculation, while the living wage is the income outcome derived from that cost structure.

2.3.6 Analytical Distinction among Wage Concepts

Concept	Primary question	Basis	Legal status	Use in this study
Minimum wage	What is the legal floor?	Statutory or negotiated wage-setting	Legally enforceable for covered work	Reference point for the distance between legal protection and urban needs
Market wage	What do employers commonly pay?	Labour demand, supply, occupation and industry	Not necessarily statutory	Interpreted through observed payroll earnings
Salary expectation	What does a candidate seek or minimally accept?	Perceptions, education, information and bargaining position	No legal force	Measured through minimum expected salary
Living wage	What income is required for a basic but decent life?	Locally priced needs and stated assumptions	Benchmark unless adopted through policy or agreement	Central city-specific adequacy benchmark
Poverty line	Who is classified as poor?	Minimum consumption or income threshold	Policy/statistical threshold	Not used as a substitute for living wage

2.4 Theoretical Foundations of Wage Adequacy

2.4.1 Basic Needs Approach

The Basic Needs Approach evaluates income against the cost of essential consumption. In a living-wage study, the approach requires a defensible basket covering food, shelter, healthcare, transport, utilities, clothing, communication and other necessary items. Its strength is practical clarity: discussions about fairness are translated into observable quantities and prices. It also permits direct comparison between a worker's disposable income and the expenditure required to maintain a defined standard.

Its principal limitation is that 'basic' is not self-defining. A basket that includes only the cheapest calories and the lowest available rent may reproduce deprivation rather than define decency. Researchers must therefore justify nutritional quality, housing standards, social participation and contingency allowances. The approach is most credible when the basket reflects local consumption patterns and is periodically validated with workers and employers.

2.4.2 Capability Approach

Sen's Capability Approach shifts attention from commodities to the substantive freedoms that resources enable. Income matters because it allows a person to be adequately nourished, securely housed, healthy, mobile, informed and socially included. Two workers receiving identical pay may have different real capabilities if one faces higher transport costs, disability-related expenditure, poor public services or expensive housing. This perspective supports geographically differentiated benchmarks and explains why national averages may conceal substantial differences in the freedom workers have to live decently (Sen, 1999).

2.4.3 Decent Work Framework

The ILO Decent Work Framework combines productive employment, rights at work, social protection and social dialogue. Fair income is a central component, but wage adequacy cannot be separated from working hours, job security, occupational safety, non-discrimination and access to social protection. A worker may earn an adequate monthly amount only by working excessive hours, in which case the employment does not satisfy the normal-hours principle of a living wage. The framework therefore prevents the benchmark from being interpreted as a complete measure of job quality (ILO, 2019).

2.4.4 Fair Wage-Effort and Equity Perspectives

The fair wage-effort hypothesis proposes that employees compare actual pay with a wage they consider fair and may reduce effort when the actual wage falls below that reference point. Fairness judgements can involve the worker's contribution, peer pay, organisational performance and ability to meet essential needs. A living wage does not resolve every equity question, because two roles may legitimately attract different salaries, but it can serve as an ethical floor below which full-time remuneration is materially inadequate (Akerlof & Yellen, 1990).

2.4.5 Human Capital Theory

Human Capital Theory links earnings to investments in education, training, skills and experience. Graduate entry-level workers often expect wages that reflect the cost and opportunity value of tertiary education. However, qualifications do not guarantee adequate earnings where graduate labour supply exceeds the availability of quality jobs, where skills do not match employer demand, or where institutions have weak bargaining structures. Human capital explains salary differentiation, but it does not establish whether the resulting wage covers a decent life (Becker, 2009).

2.4.6 Efficiency Wage Theory

Efficiency wage theory suggests that employers may gain from paying above the lowest market-clearing wage. Higher pay can attract stronger applicants, reduce turnover, increase the cost of job loss, improve morale and reduce the distraction associated with severe financial stress. These mechanisms provide an economic rationale for living-wage adoption. Nevertheless, benefits are not automatic; they depend on management quality, labour intensity, employee responsiveness and the extent to which wage increases are financed through productivity gains, reduced turnover costs, margins or prices.

2.4.7 Labour Market Segmentation and Bargaining Power

Segmented labour-market perspectives distinguish protected formal employment from insecure, informal or peripheral work. Workers with similar qualifications may receive different wages because they enter different sectors, industries or contractual arrangements. Entry-level workers frequently possess limited bargaining power, incomplete salary information and high replacement risk. This can cause prevailing wages to remain below both candidate needs and productivity potential. The theory is particularly relevant in Ghana, where formal and informal employment coexist and where graduate job seekers may compete for a limited number of structured entry-level positions.

2.5 Living - Wage Estimation Methodologies

Living-wage estimates differ because methodologies make different choices about the reference household, consumption standard, geographic unit and data source. A credible estimate should state at least: the target population; household size and number of workers; nutritional standard; housing quality; non-food needs; working hours; taxes and deductions; treatment of employer benefits; price period; and update method. Without these disclosures, numerical comparisons across studies can be misleading.

2.5.1 The Anker Methodology

The Anker methodology is among the most widely applied frameworks for living-wage benchmarking. It estimates the cost of a locally appropriate nutritious diet, decent housing, and non-food and non-housing needs; conducts post-checks for healthcare and education; adds a modest margin for unforeseen events; and divides total family cost by the expected number of full-time equivalent workers in the reference family. Mandatory payroll deductions are then added to obtain the gross wage needed to deliver the required net income (Anker & Anker, 2017).

The methodology's strengths are transparency, local pricing and a clear decent-living standard. Food is based on a model diet rather than an arbitrary food share, while housing is assessed against minimum standards of structure, space, water and sanitation. Stakeholder consultation is encouraged to validate assumptions. Its limitations are substantial data requirements and the judgement involved in defining local decency. A full application requires family-size evidence, workers-per-family estimates, detailed local prices and careful valuation of in-kind benefits.

2.5.2 ILO Needs-Based Methodology

The ILO's 2025 methodology provides a framework for estimating the needs of workers and their families for wage-setting. It places greater emphasis on nationally representative household income and expenditure data,

statistical robustness, transparent modelling and social dialogue. The methodology is designed to support wage-setting institutions rather than create a single universal basket. It complements the Anker approach by reinforcing principles of evidence quality, consultation, regular updating and consistency with national circumstances (ILO, 2025).

2.5.3 Reference Budgets and Minimum Income Standards

Reference-budget methods identify the goods and services required for an acceptable standard of living. Expert-led budgets rely on technical standards, while participatory minimum-income approaches use public deliberation to identify socially necessary items. Their major advantage is that they capture social norms, including communication, clothing, household goods and modest participation in community life. Their disadvantage is cost and complexity. They are therefore suitable for periodic rebasing, with price indices used for interim annual updates.

2.5.4 Relative-Income and Wage-Ratio Approaches

Some approaches define adequacy as a percentage of median income or average wages. Relative measures are useful for studying inequality and social exclusion but may not guarantee that essential needs are covered. In a low-wage economy, a fixed share of median pay can remain insufficient. Ratio methods are therefore better treated as validation indicators than as substitutes for a locally priced cost basket.

2.5.5 Inflation-Updated Baskets

An inflation-updated basket carries a benchmark from a base year into a later period using price indices. This approach preserves comparability and is practical for annual reporting. Its accuracy depends on the relevance of the index to the basket. Applying one headline inflation rate to all categories can distort the result because food, rent, transport and utilities often move differently. Component-specific updates improve precision, but periodic rebasing remains necessary because consumption patterns, housing quality and relative prices change over time.

2.5.6 Individual versus Family Benchmarks

Most international living-wage definitions refer to workers and their families. Family benchmarks recognise that wages commonly support dependants and that household economies involve shared costs. Individual benchmarks are narrower but can be directly compared with personal salary records and are particularly relevant to young workers establishing independent urban lives. The two measures should not be conflated. L'AINE HR's annual series is best described as an Anker-informed individual living-wage benchmark because it applies decent-living cost logic to a single graduate entry-level worker without dependants.

2.6 Components of a Basic but Decent Urban Life

2.6.1 Food and Nutritional Adequacy

Food expenditure must support nutritional adequacy rather than merely minimum calories. A defensible basket should contain locally consumed staples, protein, vegetables, fruit, oils and other items required for a balanced diet. It should also recognise the practical costs of cooking and the possibility that workers purchase some meals near the workplace. Food prices are volatile and geographically uneven, making direct monitoring and separate inflation treatment essential. Ghana's 2025 food-price experience reinforces the danger of assuming that general inflation accurately represents the movement of essential food costs (GSS, 2026a; MoFA, 2025).

2.6.2 Housing and Rent-Advance Burdens

Housing is often the largest source of city variation. A decent standard requires structural safety, privacy, ventilation, water, sanitation and reasonable access to employment. The cheapest available room may fail these standards. Ghana's rental market also creates a liquidity problem because tenants may be asked to pay several months in advance. A monthly equivalent captures recurring cost but can understate the cash barrier faced by an entry-level worker. Living-wage interpretation should therefore distinguish monthly affordability from the financing of rent advances.

2.6.3 Transport and Commuting Time

Transport decisions interact with housing. Workers may live in peripheral communities to reduce rent, only to incur higher fares and longer commuting times. A complete understanding of transport pressure includes trip frequency, transfers, route availability, waiting time and exposure to fare changes. Time poverty also matters: a low-cost but lengthy commute can reduce rest, family

participation and professional development. The 2025 fare reduction should therefore be interpreted within the annual period and not assumed to eliminate structural commuting burdens (Ministry of Transport, 2025).

2.6.4 Utilities, Digital Connectivity and Health-care

Electricity and water are essential, while mobile data and internet access have become necessary for recruitment, remote work, digital payments, professional learning and social participation. Treating connectivity as discretionary would understate the needs of graduate workers. Healthcare budgets should account for routine out-of-pocket expenditure, medicines, transport to care and services not fully covered by insurance. Utility tariffs and service quality can change independently of general inflation, supporting category-specific review (PURC, 2025a, 2025b, 2025c).

2.6.5 Personal Care, Professional Participation and Contingency

Toiletries, clothing, grooming and modest professional development are not luxuries for workers expected to participate in formal employment. Social participation and limited recreation also support dignity and mental well-being. A contingency margin recognises that unforeseen but necessary costs occur even in a carefully managed budget. Without such a margin, a worker can meet average monthly expenses yet fall into debt after a minor health, transport or household shock.

2.7 Urbanisation, Spatial Inequality and City-Specific Costs in Ghana

Ghana's urbanisation has expanded access to jobs and services while intensifying demand for land, housing and transport. Urban costs are not uniform because cities differ in economic structure, population pressure, infrastructure, distance between residential and employment areas, and availability of public services. A single national benchmark can therefore conceal meaningful differences in the income required for decent living (GSS, 2021a).

Accra/Tema combines government, corporate headquarters, logistics, industry and professional services. Its broad employment base attracts internal migration and places sustained pressure on housing and commuting systems. Kumasi functions as a major commercial, transport, health and educational centre with a large mix of formal and informal activity. Takoradi's port, extractive and industrial sectors may generate a visible high-wage segment while increasing selected housing and service costs. Cape Coast has a smaller labour market centred on education, public services, tourism and local commerce. These differences support independently constructed city benchmarks rather than applying a uniform percentage discount from Accra.

Spatial inequality also operates within cities. Workers in central neighbourhoods may face high rent but shorter commutes, whereas workers in peripheral areas may exchange lower rent for higher transport costs and time. City-level estimates are therefore averages over heterogeneous experiences. Future rebasing should sample neighbourhoods by central, intermediate and peripheral zones to capture this trade-off more explicitly.

2.8 Ghana's Labour Market and the Entry-Level Graduate Transition

The transition from tertiary education to stable employment is a critical period in which qualifications, expectations and labour-market realities meet. Graduate entrants may have limited experience, weak bargaining power and incomplete information about salary structures. They may accept temporary, probationary or contract roles to gain experience, even where pay does not support independent urban living. The World Bank's work on Ghana's youth employment challenge highlights the need for stronger job creation, skills alignment and job-intermediation systems, indicating that labour-market outcomes depend on both worker capabilities and the availability of quality jobs (World Bank, 2022).

For entry-level graduates, wage adequacy has a particular meaning. Their expenditure includes not only basic consumption but also costs associated with employment: commuting, communication, appropriate clothing, digital access and continued skill development. Many also face pressure to support relatives despite the study's individual household assumption. Where earnings are inadequate, workers may delay leaving the family home, share overcrowded accommodation, take multiple jobs or rely on transfers. These coping strategies can hide the extent of wage inadequacy in standard employment statistics.

The labour market may also display qualification mismatch. A graduate can be employed in a role that does not fully use their skills, producing a wage below their educational expectations. Human capital theory predicts returns to education, but segmented labour markets and limited high-productivity employment can weaken those returns. This makes the comparison of expected salary, actual salary and living wage analytically valuable: each captures a different dimension of the school-to-work transition.

2.9 Salary Expectations, Reservation Wages and Actual Pay

Salary expectations are formed through a mixture of need, aspiration and information. Candidates draw on educational attainment, prior employment, peer discussions, advertised salary ranges, family advice, professional networks and perceptions of inflation. Expectations may also include a desired return on the financial and time investment in education. Because these influences differ among individuals, expected salary distributions are often skewed and may contain extreme values.

The minimum expected salary is conceptually closer to a reservation wage than the maximum expected salary, but it is still self-reported. Urgent job need can push the stated minimum below the cost of living, while optimism or incomplete market information can raise it above likely offers. Robust statistics such as medians and trimmed means are therefore preferable to relying solely on the arithmetic mean.

Actual pay is determined by employer wage structures, industry, role complexity, enterprise size, productivity, collective arrangements and bargaining power. Comparing expected with actual salary measures expectation alignment. Comparing actual salary with the living wage measures material adequacy. Comparing expected salary with the living wage shows whether job seekers' own minimum expectations are consistent with the estimated cost of decent living. These three gaps should remain analytically separate.

2.10 Wage Adequacy, Inequality and Macroeconomic Conditions

Living-wage gaps are affected by both price levels and wage dynamics. Inflation reduces purchasing power when nominal wages adjust slowly. Disinflation does not reverse previous price increases; it only means that prices are rising at a slower rate. This distinction is important in Ghana's 2025 context, where annual inflation moderated but workers continued to face the accumulated effect of earlier increases in food, housing, utilities and transport.

The ILO's Global Wage Report 2024-25 shows that real-wage recovery and declining wage inequality are uneven across countries and groups. Wage averages can conceal large differences across the distribution, with lower-paid workers receiving a small share of the wage bill. Living-wage analysis complements distributional statistics by testing whether earnings at the lower end are sufficient for a decent life (ILO, 2024c).

Macroeconomic stabilisation can improve the environment for wage planning, but living-wage adoption also depends on productivity and enterprise capacity. Sustainable adjustment requires attention to both incomes and the cost drivers of decent living. Affordable housing, efficient public transport, reliable utilities and accessible healthcare can reduce the wage required to achieve the same standard of living. Living-wage policy should therefore not be reduced to payroll increases alone.

2.11 Organisational Implications of Living Wages

2.11.1 Employee Well-Being and Financial Stress

Wage inadequacy can generate chronic financial stress, indebtedness, delayed healthcare and unstable housing. These pressures may reduce concentration and increase presenteeism, absenteeism or the need for secondary employment. A living wage can improve material security, but the effect depends on household obligations, benefit access and whether working hours remain reasonable.

2.11.2 Recruitment, Retention and Employer Reputation

Higher entry-level pay can enlarge the applicant pool, reduce vacancy duration and improve retention. Lower turnover can offset part of the direct payroll cost through reduced recruitment, onboarding and training expenditure. Living-wage commitments may also strengthen employer reputation and support responsible-business objectives. However, the business case varies by sector and should be assessed using organisation-specific turnover and productivity data rather than assumed universally (PwC & WageIndicator Foundation, 2023).

2.11.3 Productivity and Effort

Fair wage-effort and efficiency wage perspectives suggest that adequate pay can support motivation, effort and organisational commitment. Yet wage increases alone cannot compensate for poor supervision, unsafe work or limited progression. Compensation should be integrated with job design, performance management, development opportunities and employee voice.

2.11.4 Wage Compression and Implementation Costs

Raising the lowest salaries may narrow differentials between entry-level and supervisory roles, creating pressure for wider salary adjustments. Employers must also consider pension contributions, taxes, allowances and benefit-linked costs. Small and medium-sized enterprises may face greater constraints than large firms. Phased implementation, targeted allowances and productivity improvements may therefore be necessary, provided that non-cash benefits are valued conservatively and do not replace essential cash needed for rent and other obligations.

2.12 International, African and Ghanaian Empirical Evidence

2.12.1 International Evidence

International living-wage studies generally find that statutory minimum wages and prevailing low wages often fall below the cost of decent living, particularly in expensive urban areas. Implementation approaches include voluntary employer accreditation, collective bargaining, public procurement standards, supply-chain requirements and statutory wage-setting. Evidence commonly reports improvements in retention, morale and recruitment, though effect sizes vary and causality is difficult to isolate because living-wage employers may also have stronger management systems.

Global employer research indicates growing corporate attention to living wages as part of sustainability, human-rights and responsible-sourcing strategies. At the same time, organisations report challenges involving data availability, supplier capacity, geographic differences and the treatment of contractors. This reinforces the importance of transparent, location-specific benchmarks and phased implementation plans (PwC & WageIndicator Foundation, 2023).

2.12.2 African Evidence

African living-wage research demonstrates the importance of local food systems, informal housing, transport patterns and public-service access. Transferring a benchmark between countries or even between regions within one country can be misleading. Family composition, number of earners and the share of food in total expenditure also differ. The strongest African studies therefore combine structured methodology with local price collection and stakeholder validation.

2.12.3 Ghanaian Evidence

The Lower Volta living-wage benchmark applied the full Anker family methodology to a peri-urban banana-producing area. The original study and subsequent updates demonstrate that a structured family living wage can be estimated in Ghana and that prevailing remuneration may fall materially below the cost of a decent life. The 2025 update reports a family-based benchmark for a family of 4.5 with 1.78 workers; its purpose, geography and household unit differ from the present urban individual study, so the figures should not be directly compared (Smith et al., 2017; Global Living Wage Coalition, 2025).

L'AINE HR's 2024 report extended Ghanaian evidence by focusing on single graduate entry-level workers in four urban centres and comparing calculated living costs with salary expectations and actual payroll data. Its contribution was the integration of needs, expectations and observed earnings within one framework. Its limitations included reliance on a relatively broad cost basket and uneven local data. The 2025 study builds on that foundation while clarifying the individual benchmark, strengthening statistical treatment and documenting data limitations (L'AINE HR, 2024).

2.13 Critical Synthesis of the Literature

The literature produces five central conclusions. First, wage adequacy is a distinct concept from legal compliance and market competitiveness. A salary can be lawful and common yet insufficient. Second, living-wage figures are inseparable from methodological assumptions. Household size, geography, housing quality and deductions must be explicit. Third, city-specific variation matters because housing and transport structures differ substantially. Fourth, wage adequacy has potential organisational benefits, but the business case is contextual and should not replace the ethical case. Fifth, living-wage policy requires social dialogue and complementary action on living costs, productivity and public services.

The literature also exposes unresolved tensions. A highly detailed benchmark improves realism but can reduce comparability and increase data demands. A family benchmark reflects social responsibility but may not align with individual payroll records. An inflation update preserves continuity but can become inaccurate if the underlying basket is not periodically rebuilt. In-kind benefits can reduce worker costs but may restrict choice and are difficult to value. These tensions justify the transparent, qualified approach adopted in the present study.

2.14 Research Gap

Existing Ghanaian sources provide information on inflation, household expenditure, employment, minimum wages and selected sectoral living-wage benchmarks. However, there remains limited annual evidence that simultaneously examines the cost of decent urban living, the minimum salary expectations of graduate job seekers and the actual net salaries paid to entry-level workers across multiple Ghanaian cities. National statistics do not answer the city-specific adequacy question; salary surveys describe market practice but not need; and the Lower Volta benchmark uses a different geography and reference family.

The study addresses a substantive gap by focusing on the early-career graduate workforce, a group positioned between educational investment and limited labour-market bargaining power. It also addresses a geographical gap by comparing Accra/Tema, Kumasi, Takoradi and Cape Coast. Methodologically, it distinguishes need, expectation and observed pay; uses robust treatment of salary outliers; reports net and indicative gross benchmarks; and makes sample-size limitations visible rather than concealing them. The study does not claim national representativeness, but it establishes a repeatable urban HR evidence series that can improve over time.

2.15 Conceptual Framework for the 2025 Study

The conceptual framework treats wage adequacy as the relationship among three primary constructs: the city-specific net living-wage benchmark, the minimum salary expected by eligible job seekers, and the actual net salary received by entry-level workers. Each construct is influenced by a different set of determinants, and each comparison answers a different research question.

Construct	Primary determinants	Operational measure	Resulting comparison
Net living-wage benchmark	City prices; housing; food; transport; utilities; healthcare; communication; contingency	Monthly disposable income required for a basic but decent life	Compared with actual salary to determine wage adequacy
Minimum expected salary	Education; experience; labour-market information; perceived fairness; reservation wage; aspirations	Minimum expected monthly salary in job-seeker data	Compared with actual salary to determine expectation alignment
Actual net salary	Employer; industry; role; productivity; salary structure; bargaining power; location	Net monthly payroll salary	Compared with living wage and expectation
Contextual outcomes	Financial stress; turnover; engagement; mobility; coping strategies	Interpretive organisational and worker outcomes	Explains consequences of persistent gaps

2.16 Implications for the Present Study

The literature leads to several methodological implications. The benchmark must be labelled as an individual rather than family living wage; net income should be compared with net payroll salary; component-specific price movements should be used where available; mean salary statistics should be supported by medians and robust means; and city findings should be qualified where sample sizes are small. The 2024 report should serve as the historical baseline, while the 2025 data generated for the present study should be treated as primary evidence rather than cited as an external publication.

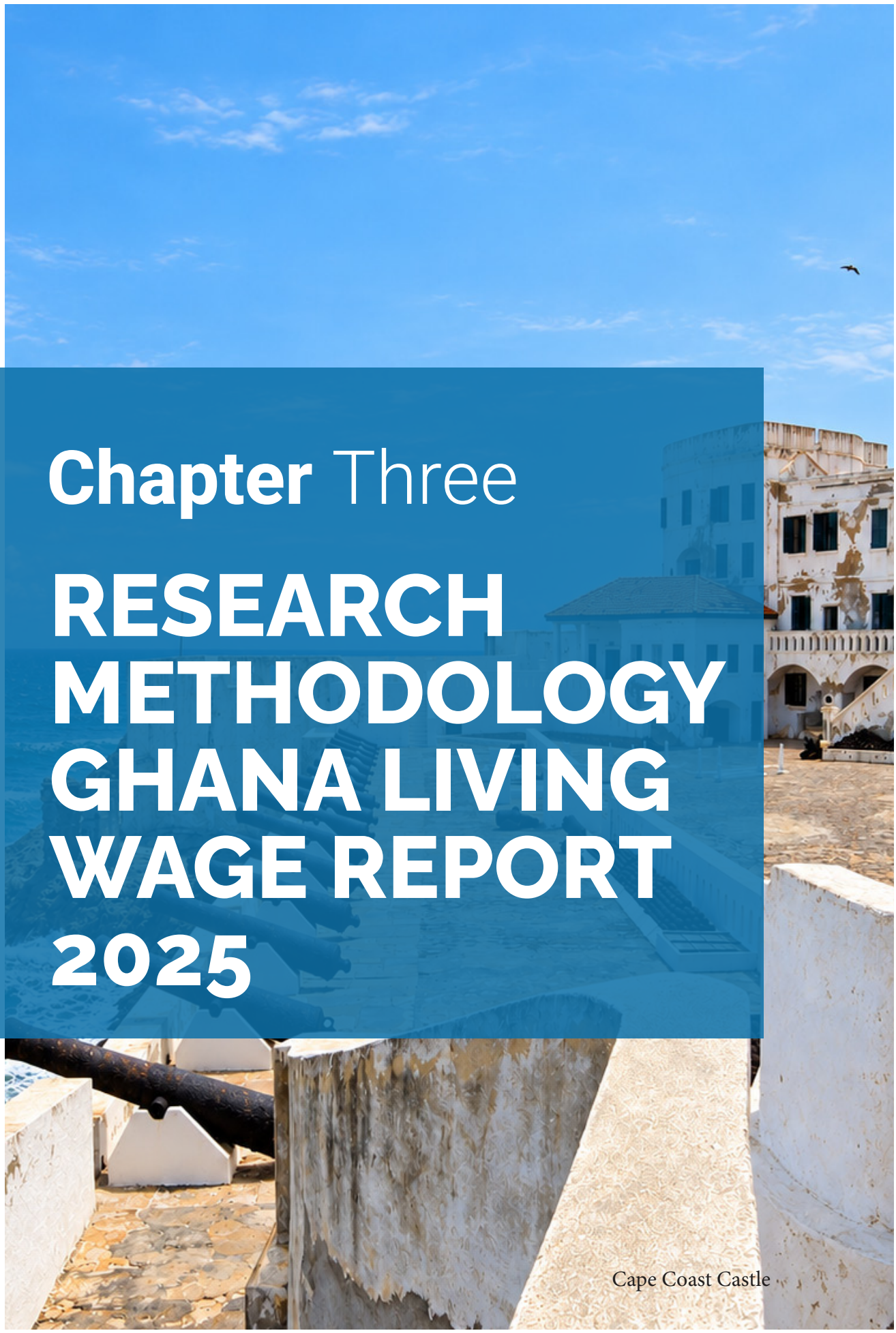
The literature also supports presenting both a central estimate and clear limitations. Living-wage figures should not imply false precision. A benchmark is most useful when its assumptions are visible, its data can be reproduced and its policy meaning is not overstated. These principles guide the methodology set out in Chapter Three.

2.17 Chapter Summary

This chapter has shown that the living wage is a needs-based and geographically specific benchmark that differs from the statutory minimum wage, prevailing market pay, salary expectation and poverty line. The Basic Needs, Capability, Decent Work, Fair Wage-Effort, Human Capital, Efficiency Wage and Labour Market Segmentation perspectives jointly explain why wage adequacy matters. The review has also demonstrated that living-wage estimation depends on explicit decisions about household unit, food, housing, non-food needs, taxes, benefits and updating procedures. International and Ghanaian evidence supports local benchmarking but cautions against direct comparison of studies with different household and geographic assumptions. The identified research gap justifies a four-city analysis that compares the cost of decent living with candidate expectations and actual net salaries for graduate entry-level workers.

The primary wage-adequacy gap is defined as actual net salary minus the net living-wage benchmark. A negative value indicates that earnings do not fully cover the estimated cost of decent living. The expectation gap is actual net salary minus minimum expected salary. A negative value indicates that actual pay falls below the candidate's minimum expectation. A third comparison, minimum expected salary minus living wage, indicates whether candidate expectations themselves are above or below estimated need.

The framework recognises feedback effects. Persistent wage inadequacy may increase turnover, secondary employment and job search, while repeated exposure to low salary offers may cause candidates to lower expectations even when living costs remain high. Employers may respond to turnover through wage adjustments, allowances, benefits or changes in recruitment strategy. Annual repetition is therefore valuable because it can reveal whether wages, expectations and living costs converge or diverge over time.



Chapter Three

RESEARCH METHODOLOGY GHANA LIVING WAGE REPORT 2025

Cape Coast Castle

3.1 Introduction

This chapter explains the procedures used to construct the 2025 city-specific living wage benchmarks and to compare those benchmarks with the salary expectations and actual net earnings of graduate entry-level workers. The purpose of the methodology is not only to state what calculations were performed, but also to make analytical choices, assumptions, exclusions, data-quality constraints and interpretation rules sufficiently transparent for independent review and future replication. This is especially important in living wage research because the final estimate depends on normative judgements about the standard of living being costed, the population being represented, the geographical unit, the reference period and the treatment of taxes, benefits and unforeseen expenditure (Anker & Anker, 2017; ILO, 2025).

The study combines three distinct forms of evidence: operational job seeker records, operational payroll records, and documentary evidence on prices, tariffs and statutory deductions. These sources answer different questions. Job seeker data indicate the minimum salaries candidates reported they would accept; payroll data show what entry-level workers received as net cash remuneration; and the cost model estimates the disposable income required for a single worker to maintain a basic but decent urban standard of living. The three measures are analysed separately before being compared because expected salary, actual salary and living wage are conceptually different constructs.

The chapter is organized around research design, study setting, population, sampling, data sources, data collection, data cleaning, living wage estimation, salary analysis, missing-data treatment, statistical techniques, validity, reliability, ethics, limitations and reproducibility. The methodological sequence is designed to preserve year-on-year comparability with the 2024 maiden study while improving precision, documentation and caution in the treatment of incomplete payroll-location information.

3.2 Research Philosophy and Analytical Orientation

The study adopts a pragmatic and applied research orientation. Its central concern is to produce a credible decision-support benchmark for employers, workers, HR practitioners and policymakers rather than to test a single abstract causal theory. A pragmatic orientation permits the combination of administrative data, official economic evidence and needs-based costing where each contributes to answering the research questions. It also recognises that living wage estimation contains both empirical and normative elements: prices and salaries can be observed, but the definition of a 'basic but decent' life requires an explicit standard and transparent judgement (Sen, 1999; Anker & Anker, 2017).

Epistemologically, the analysis is predominantly quantitative and positivist in its treatment of salary records and price adjustments. However, it does not assume that all relevant concepts are value-free. The selection of food, housing, transport, healthcare, communication, personal care and contingency as necessary cost components reflects the normative literature on decent work, basic needs and human capability (ILO, 2019; ILO, 2024a). The study therefore combines numerical measurement with explicit interpretation rather than presenting the final living wage as a purely mechanical output.

3.3 Research Design

The study employs a quantitative, descriptive and comparative design supported by documentary review. It updates L'AINE's 2024 single-adult city baskets with category-specific 2025 evidence and compares the resulting net living wages with expected and actual monthly salary data.

The design has a repeated annual benchmark component: the 2024 L'AINE basket and target-worker definition are retained for comparability, while 2025 prices, deductions and an expanded salary evidence base are incorporated. This allows meaningful year-on-year interpretation without treating GSS as a replacement cost model.

The analytical design is implemented in four stages:

- Stage 1 - define the target worker, geographical units, cost categories and reference period;
- Stage 2 - update the 2024 single-adult city baskets using category-specific 2025 price, fare and tariff evidence;
- Stage 3 - harmonise and pool all eligible expected- and actual-salary observations into a single combined dataset;
- Stage 4 - compare the net living wage, combined expected-salary median and combined actual-salary median, then evaluate salary gaps and wage coverage.

The design is non-experimental. It does not claim that low wages cause specific productivity, health or retention outcomes within the sample. Rather, it estimates wage adequacy and identifies the size and direction of observed gaps. Causal questions would require longitudinal worker-level data, employer characteristics and outcome measures beyond the scope of the current report.

3.4 Study Setting and Geographical Scope

The study covers four urban labour markets: Accra/Tema in the Greater Accra Region, Kumasi in the Ashanti Region, Takoradi in the Western Region and Cape Coast in the Central Region. These locations were retained from the 2024 report to support comparability and because they represent different economic structures, labour-market opportunities and cost environments. Accra/Tema has the greatest concentration of corporate headquarters, government institutions, logistics and professional services; Kumasi is a major commercial and transport centre; Takoradi is influenced by port, industrial and extractive activity; and Cape Coast has a smaller labour market shaped by education, public services, tourism and local commerce.

Operational datasets record regions rather than uniformly verified city or neighbourhood locations. For consistency, Greater Accra is mapped to Accra/Tema, Ashanti to Kumasi, Western to Takoradi and Central to Cape Coast. This mapping is a practical analytical convention and does not imply that all individuals live within the administrative boundaries of the named cities. The interpretation is therefore 'city-region labour market' rather than precise neighbourhood-level residence.

Operational Geography	Study Location	Analytical interpretation
Greater Accra	Accra/ Tema	City basket and integrated Accra/Tema salary labour market
Ashanti	Kumasi	City basket and urban regional salary proxy
Western	Takoradi	City basket and urban regional salary proxy
Central	Cape Coast	City basket and urban regional salary proxy

3.5 Target Population, Study Population and Unit of Analysis

The target population comprises entry-level workers and jobseekers with zero to three years of experience who live, work or seek employment in the four study labour markets. The focus is the transition into paid work and whether early-career remuneration supports independent urban living.

The unit of analysis is the individual worker or jobseeker. The living-wage benchmark represents one independently living adult without dependants, consistent with L'AINE's 2024 city basket; the salary datasets contain anonymous individual observations.

The analytical salary population contains 3,257 anonymous observations across the four study cities: 987 expected-salary records and 2,270 actual-salary records. The regional-to-city mapping remains an explicit analytical proxy.

L'AINE's own operational jobseeker and payroll records, which form the core of the analytical sample, are drawn mainly from private-sector employers. Public-sector representation in the wider evidence base comes from the supplementary Quarterly Labour Force Survey (QLFS) microdata from the Ghana Statistical Service, a nationally representative survey that spans both public- and private-sector employment (Section 3.9.3).

3.6 Eligibility, Inclusion and Exclusion Criteria

Eligibility rules were established before the descriptive analysis so that the sample would correspond closely to the stated target group. Applying explicit criteria reduces researcher discretion after results are observed and improves reproducibility.

Dataset	Inclusion criteria	Exclusion criteria
Expected Salary	Four study regions; 0-3 years where recorded; numeric minimum acceptable monthly salary	Other locations; negative, blank or above-three-year experience; non-numeric salary
Actual Salary	Verified payroll cohort or eligible 2025 employed respondent; convertible monthly net/main-job pay	Other locations; missing pay; tenure above three years
Cost Evidence	GLSS7 urban expenditure record with positive survey weight and adult-equivalence scale	Non-target geography; unusable expenditure or equivalence data

Experience fields contain textual variants. Recognisable entries such as '0 YEAR', '1 YEAR', '1 & HALF YEAR', '2 YEARS' and '3 YEARS' are standardised and retained. Blank experience fields are excluded rather than assumed to mean no experience. This conservative rule reduces the risk of incorrectly including experienced candidates whose information was incomplete.

3.7 Data Sources

The analysis draws on the sources summarised below: the established single-adult cost basket, jobseeker and payroll salary observations, and Ghana Statistical Service microdata and price evidence supporting the 2025 category updates and labour-market interpretation.

Source	Role in analysis	Provider	Reference period
2024 Living Wage Report	Base single-adult city baskets and target-worker definition	L'AINE HR	2024
Jobseeker registration data	Minimum expected salary and worker characteristics	L'AINE HR	2025
QLFS microdata	Additional expected and actual salary observations	Ghana Statistical Service	Q2-Q3 2025 public microdata
QLFS report	Labour-market context	Ghana Statistical Service	Q1-Q3 2025
Inflation evidence	Food and non-food price context	Ghana Statistical Service	2025
Transport and utility decisions	Category-specific fare and tariff updates	Ministry of Transport; GRTCC; PURC	2025

L'AINE verified payroll Actual net salary and verified city L'AINE HR 2025 PAYE and pension rules Gross-to-net conversion GRA and SSNIT Applicable 2025 treatment

3.8 Sampling Strategy and Sample Size

3.8.1 Job Seeker Sample

The expected-salary sample contains 987 observations across the four study cities: 595 in Accra/Tema, 93 in Takoradi, 187 in Kumasi and 112 in Cape Coast.

3.8.2 Payroll Sample

The actual-salary sample contains 2,270 observations across the four study cities: 1,013 in Accra/Tema, 305 in Takoradi, 664 in Kumasi and 288 in Cape Coast.

Analytical group	N
Jobseeker salary - Accra/Tema	595
Jobseeker salary - Takoradi	93
Jobseeker salary - Kumasi	187
Jobseeker salary - Cape Coast	112
Actual salary - Accra/Tema	1,013
Actual salary - Takoradi	305
Actual salary - Kumasi	664
Actual salary - Cape Coast	288
Total	3,257 (987 jobseeker; 2,270 actual salary)

3.9 Data Collection Procedures

3.9.1 Job Seeker Data

Job seeker information was captured through L'AINE HR's registration and talent-pool processes. The fields used in this study are region, highest qualification, years of experience, minimum expected salary and maximum expected salary. The minimum expected salary is selected as the principal expectation variable because it is complete for the eligible records and is closer to a candidate's reservation wage than the maximum expectation, which may represent aspiration or negotiation range.

3.9.2 Payroll Data

Payroll information was compiled from operational records for entry-level workers. Net salary is used as the principal actual-wage measure because the living wage basket represents disposable income available after mandatory deductions. Basic and gross salary are retained for diagnostic and gross-equivalent modelling, but gross pay is not compared directly with a net living-cost requirement because doing so would overstate wage adequacy.

The payroll sample is drawn mainly from private-sector employers within L'AINE's operational base. It is not intended to represent public-sector payroll practices; public-sector wage evidence in this study comes from the QLFS supplement described in Section 3.9.3, not from L'AINE's own payroll records.

3.9.3 Cost and Policy Evidence

The 2024 L'AINE city basket provides the living-cost foundation, covering rent, food, transport, utilities, internet, health, toiletries, entertainment and other essentials for one independently living adult. GSS inflation evidence, official transport decisions and PURC tariff information update the components to 2025, and QLFS microdata, which covers both public- and private-sector employment nationally, contributes to salary measurement and labour-market interpretation.

3.10 Data Management, Preparation and Cleaning

Data cleaning was conducted before city-level analysis. Raw data, cleaned data, assumptions and outputs should remain on separate workbook sheets so that the original values are preserved and every transformation can be traced. Manual overwriting of calculated outputs is avoided.

3.10.1 Standardisation of Text Fields

Region, qualification and experience values are converted to a standard case; leading and trailing spaces are removed; repeated spaces are collapsed; and known spelling or formatting variants are mapped to a canonical category. For example, 'GREATER ACCRA' and 'Greater Accra' are treated as one region. Similar standardisation is applied to qualifications and experience descriptions.

3.10.2 Salary Conversion

Salary fields are converted to numeric Ghana cedi values after removing currency symbols, commas and non-essential text. Values that cannot be converted are coded as missing rather than assigned zero. A zero salary has a substantive meaning and must not be used as a placeholder for unavailable information.

3.10.3 Duplicate and Plausibility Checks

Where unique record identifiers are available, duplicate rows should be identified before analysis. Salary distributions are inspected using minima, maxima, percentiles and frequency tables. Extremely high or low values are not deleted solely because they appear unusual; they remain in raw descriptive results but their influence is limited in the preferred robust statistics. This preserves transparency while preventing a small number of observations from dominating city means.

3.10.4 Confidentiality in Analytical Extracts

Names, telephone numbers, email addresses, dates of birth, national identification numbers and other directly identifying fields are not required to answer the research questions. They are excluded from analytical outputs. The working dataset should use non-identifying record numbers where linkage is necessary.

3.11 Entry-Level Verification and Multi-Month Salary Averaging

The verified payroll sample was checked for consistency, duplicate individuals were removed, and each entry-level worker's net salary was averaged across every 2025 payroll cycle in which they appear (February, May, August and December), rather than relying on a single month. This step was necessary because December pay is materially inflated by one-off bonuses relative to the rest of the year, which would otherwise overstate typical take-home pay if used alone.

Identifying fields such as names, dates of birth, telephone numbers and staff IDs were used only during verification

and are excluded from the analytical master dataset. Chapter Four presents one combined actual-salary median for each study city.

3.12 Living Wage Estimation Framework

The 2025 benchmark uses an inflation-updated basket approach informed by the Anker methodology. It retains L'AINE's 2024 expenditure structure and single-adult lens for comparability, while applying category-specific 2025 adjustments rather than replacing the basket with GSS household expenditure.

3.12.1 Base-Year Basket

The 2024 L'AINE basket contains rent, food, transport, utilities, internet, health, toiletries, entertainment and other essential expenditure for one independently living adult. Each component is carried forward with the relevant 2025 factor, and the five per cent contingency and sustainability margin is retained.

3.12.2 Component-Specific Adjustment Factors

Component	Factor	Methodological basis	Primary Evidence
Food	1.174	2025 annual-average food inflation of 17.4%	GSS
Rent	1.122	Non-food inflation with rental reasonableness check	GSS; L'AINE
Transport	0.977	Calendar-day-weighted 2025 fare changes	Ministry of Transport; GRTCC
Utilities	1.116	Blended movement from 2025 tariff decisions	PURC
Internet, health, toiletries, entertainment and other	1.122	Annual-average non-food inflation	GSS
Contingency	5%	Modest sustainability and resilience margin	L'AINE assumption
Gross conversion	Exact	5.5% SSNIT plus resident monthly PAYE; no upward rounding	SSNIT; GRA

The transport factor is annualised because fares changed twice during 2025. The calendar-day-weighted factor combines the 15 per cent reduction effective 24 May and the later 20 per cent increase effective 8 August, applied to the already-reduced fare. Utilities likewise use a blended factor reflecting the timing of tariff decisions.

3.12.3 Core Monthly Cost

For city c and cost component k, the updated amount is calculated as: Updated Cost(c,k,2025) = Base Cost(c,k,2024) × Adjustment Factor(k,2025).

The updated component amounts are summed and the approved contingency and sustainability margin is applied to obtain the 2025 net living wage for one independently living adult.

Applying component-specific factors avoids forcing food, rent, transport and regulated utilities to follow one headline rate. It preserves continuity with L'AINE's 2024 basket while reflecting the different price movements observed in 2025.

3.12.4 Sustainability Margin

A five per cent sustainability margin is added after routine monthly costs are summed. The margin recognises that a decent standard of living must withstand modest unforeseen expenditure, such as an urgent medical purchase, an unexpected transport need or replacement of a necessary household item. It is conceptually distinct from routine 'other' expenditure and is not intended as a luxury allowance, investment target or employer pension contribution (Anker & Anker, 2017).

Net Living Wage(c,2025) = Core Cost(c,2025) × 1.05

3.13 Conversion from Net to Indicative Gross Living Wage

The cost basket represents disposable income and therefore produces a net living wage. Employers, however, establish gross salaries. To make the benchmark operationally useful, the analysis estimates the gross salary required to deliver the target net amount after mandatory employee deductions.

The model assumes gross salary is fully SSNIT-insurable basic pay. It deducts the employee contribution of 5.5 per cent, then applies the resident monthly PAYE bands to

chargeable income after the SSNIT deduction. The exact gross equivalent is solved iteratively and is reported without upward rounding (GRA, 2024; SSNIT, 2025).

This conversion is indicative rather than prescriptive. Actual employer payrolls may distinguish basic pay from allowances, apply approved tax reliefs, include additional pension contributions or make other deductions. Employers should therefore recalculate the gross amount using their own payroll structure before implementation.

3.14 Measurement of Salary Expectations

The expected-salary measure is the monthly minimum acceptable wage recorded for each jobseeker, converted to a monthly equivalent where necessary. Values are limited to the GHS 1,000–5,000 analytical range before the cleaned city medians are calculated.

The maximum expected salary is retained for supplementary interpretation but is not used as the main benchmark because it is less complete and may represent an aspirational upper bound. For each city, the following statistics are calculated: count, arithmetic mean, median, standard deviation, first quartile, third quartile, interquartile range, fifth percentile, ninety-fifth percentile, and the adjusted and trimmed means described in §3.16.2.

3.15 Measurement of Actual Salary

Actual salary is monthly net pay or converted monthly main-job earnings. Verified payroll figures include multi-month averages where applicable. Values are limited to the GHS 1,000–5,000 analytical range before the city medians are compared with the net living wage.

City statistics include the mean, median, standard deviation and quartiles, adjusted using the same treatment described in §3.16.2. Raw and adjusted statistics are reported together so that the influence of outlier salary values remains visible.

3.16 Statistical Analysis

3.16.1 Descriptive Statistics

The arithmetic mean provides the average salary but is sensitive to extreme observations. The median identifies the middle value and is more representative of the typical worker where distributions are skewed. Standard deviation measures dispersion around the mean, while the interquartile range captures the spread of the middle 50 per cent of observations. Percentiles provide additional information about distributional tails.

3.16.2 Winsorisation and Trimming

Winsorisation is the study's chosen method for limiting the influence of extreme observations: five-to-ninety-five per cent winsorisation replaces values below the fifth percentile with the fifth-percentile value and values above the ninety-fifth percentile with the ninety-fifth-percentile value. No observation is removed; only the influence of extreme tails is limited. A five per cent trimmed mean is also calculated by excluding the lowest and highest five per cent. Agreement among the median, the adjusted mean and the trimmed mean strengthens confidence that conclusions are not driven by a few extreme values.

This treatment is particularly relevant to the Kumasi expectation data, where an unusually high minimum expectation materially inflates the raw mean. The raw mean remains reported for transparency, but the adjusted mean is preferred for cross-city comparison.

3.16.3 Wage-Gap Indicators

Three principal gaps are calculated:

- Living wage gap = Actual net salary - Net living wage;
- Expectation adequacy gap = Expected salary - Net living wage;
- Expectation-realisation gap = Actual net salary - Expected salary.

A negative living wage gap indicates that actual pay is below the estimated requirement. Wage coverage is calculated as actual salary divided by the living wage, multiplied by 100. The percentage shortfall is the gap divided by the living wage, multiplied by 100. Because percentage gaps can be unstable where denominators are small, both Ghana cedi and percentage values are reported.

3.16.4 Year-on-Year Change

The percentage change from the 2024 benchmark to the 2025 benchmark is calculated for each city. Component contributions are also examined so that the increase is not interpreted as a single undifferentiated inflation effect. Year-on-year comparisons are valid only because the target worker, geographical scope and cost categories are retained.

3.17 Sensitivity and Robustness Analysis

Sensitivity analysis focuses on the selected component factors, the timing of transport and utility changes, and the contingency margin. Salary findings are also checked with medians and interquartile ranges so that extreme values do not dominate the comparison.

Sensitivity	Central treatment	Alternative interpretation
Cost base	L'AINE 2024 single-adult city basket	Future direct city price rebase
Transport	Calendar-day-weighted 2025 factor	End-year spot fare
Utilities	Blended 2025 tariff factor	End-year tariff
Salary statistic	City median (GHS 1,000–5,000 range applied) Unad	adjusted median, mean and interquartile range
Contingency	5%	0%, 3% and 7% scenarios

The central findings are interpreted as applied city-labour-market benchmarks. Transparency of the 2024 base basket, the 2025 component factors and the salary-cleaning rules is more informative than attaching false precision to a normative benchmark.

3.18 Validity, Reliability and Quality Assurance

3.18.1 Construct Validity

Construct validity is strengthened by maintaining clear distinctions among estimated need, expected salary and actual salary. Minimum expected salary is not treated as a living wage; market pay is not assumed to be adequate; and gross salary is not compared directly with a net cost basket. These distinctions reduce conceptual contamination.

3.18.2 Content Validity

The cost model covers the principal expenditure dimensions identified in living wage literature: food, housing, transport, utilities, communication, healthcare, personal care, social participation and unforeseen expenditure. The individual-worker scope and exclusions are stated explicitly so that the benchmark is not mistaken for a family budget or middle-class consumption standard.

3.18.3 Reliability and Reproducibility

Reliability is supported through documented inclusion rules, standardised cleaning, retained raw values, formula-based calculations and use of official sources. Repeating the same steps on the same data should reproduce the same results. Version-controlled workbooks should preserve source sheets, cleaned sheets, assumptions and outputs separately.

3.18.4 Internal Technical Review

Before publication, the analysis should undergo an internal technical review covering formula checks, sample counts, city mappings, percentile calculations, gross-to-net conversion, source dates and consistency between tables and narrative. A second reviewer should independently reproduce a sample of calculations. Material methodological changes from the 2024 report should be documented and their effect quantified.

3.19 Ethical Considerations and Data Protection

The study uses operational job seeker and payroll data rather than information collected solely for research. This creates an obligation to minimise data use, protect confidentiality and report only aggregate findings. Personally identifying information is excluded

from analysis, access to source files is restricted to authorised personnel, and published tables should avoid combinations of employer, job title and city that could reveal an individual's salary.

Small cell sizes require particular caution. Where a city or category contains very few records, results should be combined with larger groups and should not be presented with characteristics, such as job title, employer or exact tenure, that permit re-identification. City-level outputs should be sufficiently aggregated, and employer names should not be disclosed without explicit authorisation.

Ethical transparency also applies to normative assumptions. The report must state that the benchmark is an analytical estimate, not a legal wage order. The standard of living, individual-worker assumption, price period, deductions, limitations and uncertainty should be communicated clearly. Excessive precision should be avoided in public-facing recommendations; rounded benchmarks are more appropriate for implementation than implying certainty to the pesewa.

3.20 Methodological Limitations

First, the 2025 cost basket is an update of the 2024 basket rather than a new direct 2025 price survey. The method preserves comparability but depends on the relevance of the selected category factors, and city-level rent and consumption patterns should be directly revalidated in future editions.

Second, salary expectations are self-reported and may reflect aspiration, anchoring, incomplete market knowledge or strategic bargaining. The use of the minimum expectation and robust statistics reduces but does not eliminate this limitation.

Third, a portion of the salary evidence uses regional proxies rather than exact municipal residence. The broadened evidence base improves breadth but does not convert the analysis into a probability sample for each named city.

Fourth, the study focuses primarily on cash pay. Employer-provided meals, transport, housing, medical insurance, bonuses and other benefits are not comprehensively valued. A worker whose cash salary is below the benchmark may receive benefits that cover part of the gap, while benefits with limited usability should not be valued at their full employer cost.

Finally, the benchmark is designed for one adult without dependants and should not be interpreted as a family living wage.

3.21 Reproducibility and Annual Update Protocol

To establish a credible annual series, the following protocol is recommended:

- Freeze and archive the preceding year's basket, definitions and formulas before beginning the update.
- Collect official annual-average food and non-food inflation and all relevant category-specific tariff decisions.
- Conduct a structured local price-validation exercise in each city using a fixed item list and neighbourhood sample.
- Extract job seeker and payroll data with mandatory city, qualification, experience, salary and benefit fields.
- Apply the documented cleaning, eligibility, range-adjustment, weighting and gap-calculation procedures.
- Publish net and indicative gross benchmarks, city-level salary results and the sample size behind each figure.
- Retain source files, data dictionaries, formulas, retrieval dates and technical review records.
- Undertake a comprehensive basket rebase at least every three years, or earlier where consumption patterns or relative prices change materially.

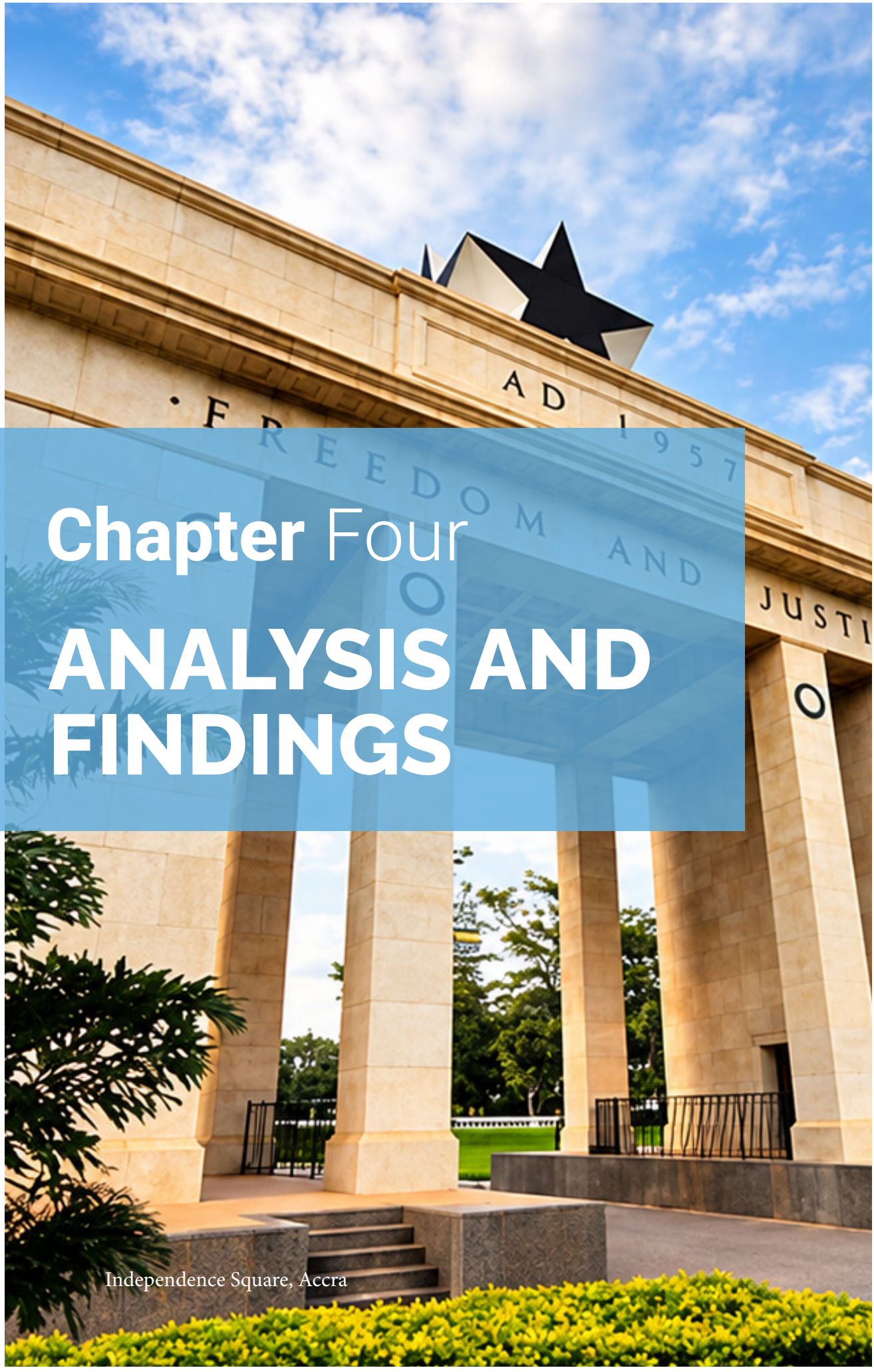
A future full rebase should collect local food quantities and prices, assess housing quality and rent advances, value employer benefits, and consider developing a separate family living wage using an explicit reference family and workers-per-family assumption.

3.22 Chapter Summary

The study applies a transparent quantitative and comparative methodology to estimate an Anker-informed single-adult living wage for Accra/Tema, Takoradi, Kumasi and Cape Coast. The 2024 city baskets are updated with category-specific 2025 evidence and the exact gross is calculated with SSNIT and PAYE. The salary analysis covers 987 expected-salary and 2,270 actual-salary observations.

Chapter Four

ANALYSIS AND FINDINGS



Independence Square, Accra

4.1 Introduction

This chapter presents the 2025 living-wage estimates and compares them with the salary expectations and actual salaries of entry-level workers. In keeping with the 2024 report, the central presentation is a three-match comparison: expected salary, net living wage and actual salary. The net living wage is highlighted because it represents the disposable monthly income required to meet the defined single-adult basket. The indicative gross amount is reported separately for employer implementation.

4.2 Analytical Dataset

The analytical dataset contains 3,257 anonymous salary observations: 987 jobseeker salary expectations and 2,270 verified payroll or worker-earnings observations. Expected and actual salaries are limited to the study range of GHS 1,000–5,000 before city statistics are calculated. Reported values are retained in the master dataset for audit, adjusted records are flagged, and all eligible observations remain in the analysis.

City	Expected salary n	Actual salary n	Combined n
Accra/ Tema	595	1,013	1,608
Takoradi	93	305	398
Kumasi	187	664	851
Cape Coast	112	288	400
Total	987	2,270	3,257

Table 4.1. Salary observations by city.

4.3 Estimated 2025 Single-Adult Living Wage

The net estimates retain L'AINE's 2024 city-specific baskets for one independently living adult and update their components with the relevant 2025 food, non-food, transport and utility evidence. The five per cent contingency and sustainability margin is retained. The gross estimates show the precise salary required to deliver the net amount after employee SSNIT and PAYE.

City	2024 net bench-mark	Effective update	2025 net living wage	Indicative gross
Accra/ Tema	GHS 3,275.00	17.3%	GHS 3,840.11	GHS 4,851.66
Takoradi	GHS 2,290.00	17.1%	GHS 2,682.56	GHS 3,300.70
Kumasi	GHS 2,227.50	16.6%	GHS 2,596.77	GHS 3,190.66
Cape Coast	GHS 1,885.00	17.3%	GHS 2,210.34	GHS 2,695.00

Table 4.2. Estimated monthly living wage for one independently living adult, 2025.

Accra/Tema records the highest final net requirement at GHS 3,840.11, followed by Takoradi at GHS 2,682.56, Kumasi at GHS 2,596.77 and Cape Coast at GHS 2,210.34. Each figure already includes the five per cent sustainability margin; no separate margin is added in the findings. The estimates preserve the geographic pattern and basket structure established in L'AINE's 2024 study while incorporating 2025 component movements.

Table 4.3 sets out the 2025 city baskets behind these estimates. Each category is the 2024 L'AINE amount multiplied by its 2025 adjustment factor (section 3.12.2). The five per cent sustainability margin is then added to the core monthly cost, as described in section 3.12.4.

Cost category (GHS per month)	Accra/Tema	Takoradi	Kumasi	Cape Coast
Rent	1,290.30	897.60	1,009.80	729.30
Food	939.20	587.00	410.90	528.30
Transport	390.80	268.68	293.10	219.83
Utilities	167.40	128.34	156.24	122.76
Internet	196.35	157.08	168.30	129.03
Health	196.35	140.25	126.22	112.20
Toiletries	84.15	67.32	67.32	67.32
Entertainment	224.40	168.30	168.30	112.20
Other essentials	168.30	140.25	72.93	84.15
Core monthly cost	3,657.25	2,554.82	2,473.11	2,105.09
Sustainability margin (5%)	182.86	127.74	123.66	105.25
Net living wage, 2025	3,840.11	2,682.56	2,596.77	2,210.34

Table 4.3. 2025 cost basket by city (GHS per month).

4.4 Three-Match Comparison

Table 4.3 and Figure 4.1 reproduce the central comparison used in the 2024 report. Expected salary for 2025 applies the same city-specific cost-escalation factor used for the living wage benchmark (Table 4.2) to the 2024 expected-salary figure. The highlighted net living wage is the adequacy threshold.

City	Expected Salary	Net Living Wage	Actual Salary
Accra/Tema	GHS 3,600.00	GHS 3,840.11	GHS 2,865.98
Takoradi	GHS 3,200.00	GHS 2,682.56	GHS 2,320.71
Kumasi	GHS 3,400.00	GHS 2,596.77	GHS 2,136.27
Cape Coast	GHS 3,100.00	GHS 2,210.34	GHS 1,920.15

Table 4.3. 2025 expected salary, net living wage and actual salary.

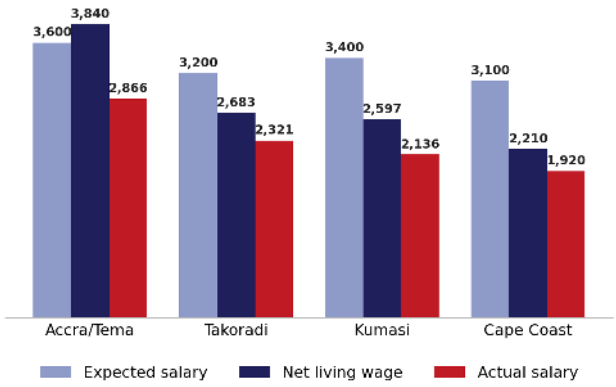


Figure 4.1. Three-match comparison by city.

4.4.1 Accra/Tema

Metric	Amount (GHS)
Expected Salary	3,600.00
Net Living Wage	3,840.11
Actual Salary	2,865.98

The actual salary is GHS 974.13 below the net living wage and covers 74.6% of the estimated requirement. The expected salary is GHS 240.11 below the benchmark. The difference between actual and expected salary is GHS 734.02, with actual pay below expectations.

4.4.2 Takoradi

Metric	Amount (GHS)
Expected Salary	3,200.00
Net Living Wage	2,682.56
Actual Salary	2,320.71

The actual salary is GHS 361.85 below the net living wage and covers 86.5% of the estimated requirement. The expected salary is GHS 517.44 above the benchmark. The difference between actual and expected salary is GHS 879.29, with actual pay below expectations.

4.4.3 Kumasi

Metric	**Amount (GHS)**
Expected Salary	3,400.00
Net Living Wage	2,596.77
Actual Salary	2,136.27

The actual salary is GHS 460.50 below the net living wage and covers 82.3% of the estimated requirement. The expected salary is GHS 803.23 above the benchmark. The difference between actual and expected salary is GHS 1,263.73, with actual pay below expectations.

4.4.4 Cape Coast

Metric	**Amount (GHS)**
Expected Salary	3,100.00
Net Living Wage	2,210.34
Actual Salary	1,920.15

4.5 Wage-Adequacy Gaps

City	Actual minus net living wage	Wage coverage	Expected minus net living wage	Actual minus expected
Accra/ Tema	GHS -974.13	74.6%	GHS -240.11	GHS -734.02
Takoradi	GHS -361.85	86.5%	GHS +517.44	GHS -879.29
Kumasi	GHS -460.50	82.3%	GHS +803.23	GHS -1,263.73
Cape Coast	GHS -290.19	86.9%	GHS +889.66	GHS -1,179.85

Table 4.4. Wage-gap indicators by city.

Figure 4.2 expresses actual salary as a share of the net living wage. Wage coverage ranges from 74.6% in Accra/Tema to 86.9% in Cape Coast, and no city reaches the 100% threshold.

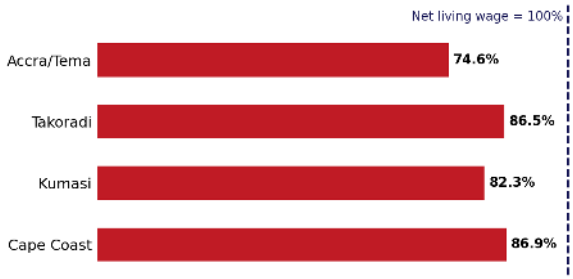


Figure 4.2. Actual salary as a share of the net living wage, 2025.

Figure 4.3 places the statutory minimum wage alongside the net living wage and actual salary. At GHS 539.19 a month, the minimum wage covers between 14.0% and 24.4% of the net living wage across the four cities.

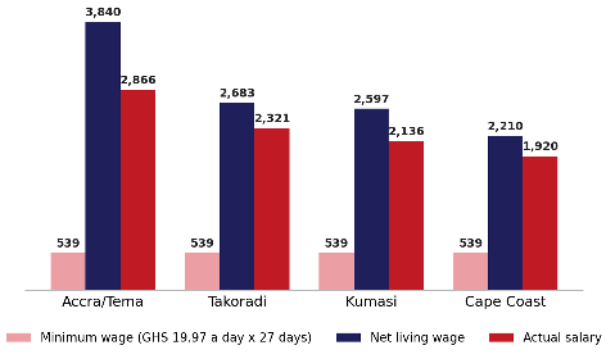


Figure 4.3. Minimum wage, net living wage and actual salary, 2025 (GHS per month).

All four cities record a negative actual-salary gap. Accra/Tema has the largest absolute shortfall and the lowest wage coverage at 74.6%. Cape Coast has the strongest wage coverage at 86.9%. Expected salary exceeds the net living wage in Takoradi, Kumasi and Cape Coast; Accra/Tema is the only city where expected salary remains below the benchmark.

4.6 Interpretation of Expected Salaries

Expected salary should not be treated as a direct measure of need. In Takoradi, Kumasi and Cape Coast, the 2025 expected salary exceeds the net living wage; in Accra/Tema it remains below the benchmark. Where expectations exceed the benchmark, this reflects jobseekers anchoring to a standard consistent with, or above, the cost of independent living in that city; it does not indicate that employers are meeting that expectation, which actual salary in Section 4.7 addresses directly. Where expectations remain below the benchmark, as in Accra/Tema, jobseekers may be anchoring to prevailing labour-market conditions rather than the full cost of independent living. A candidate's willingness to accept a salary does not establish that the salary is adequate.

4.7 Interpretation of Actual Salaries

The actual-salary medians show a consistent affordability deficit. The findings do not imply that every worker receiving less than the benchmark experiences identical hardship: shared housing, family support, employer-provided transport, meals or medical insurance can reduce cash needs. Conversely, workers with dependants, debt or substantial commuting costs may face a larger gap. The benchmark is therefore a common reference point for one independently living adult, not a prediction of every worker's circumstances.

4.8 Relationship with the 2024 Report

The 2025 edition preserves direct continuity with the 2024 study: the city baskets, single-adult focus and three-match interpretation remain in place. Table 4.5 compares the 2024 and 2025 figures for each city.

City	Expected 2024	Expected 2025	Net Living Wage 2024	Net Living Wage 2025	Actual 2024	Actual 2025
Accra/Tema	GHS 3,150.00	GHS 3,600.00	GHS 3,275.00	GHS 3,840.11	GHS 2,443.29	GHS 2,865.98
Takoradi	GHS 2,750.00	GHS 3,200.00	GHS 2,290.00	GHS 2,682.56	GHS 1,981.82	GHS 2,320.71
Kumasi	GHS 2,950.00	GHS 3,400.00	GHS 2,227.50	GHS 2,596.77	GHS 1,711.82	GHS 2,136.27
Cape Coast	GHS 2,700.00	GHS 3,100.00	GHS 1,885.00	GHS 2,210.34	GHS 1,408.52	GHS 1,920.15

Table 4.5. Year-on-year comparison, 2024 to 2025.

Figure 4.4 shows the movement in the net living wage and actual salary between 2024 and 2025. The net living wage rose by 16.6% to 17.3% across the cities, while actual salary rose by 17.1% to 36.3%.

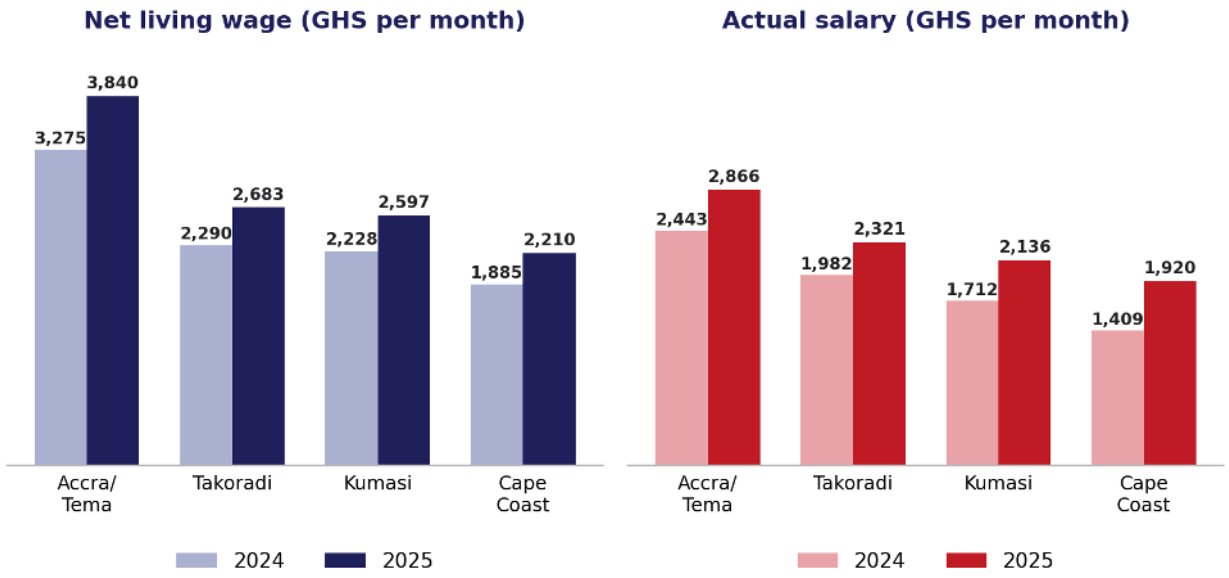


Figure 4.4. Net living wage and actual salary, 2024 and 2025 (GHS per month).

Figure 4.5 shows the monthly shortfall between the net living wage and actual salary in each year. The shortfall widened in Accra/Tema (GHS 831.71 to GHS 974.13) and Takoradi (GHS 308.18 to GHS 361.85) and narrowed in Kumasi (GHS 515.68 to GHS 460.50) and Cape Coast (GHS 476.48 to GHS 290.19).

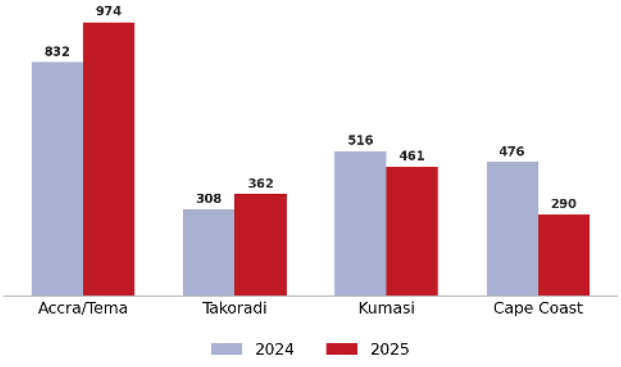
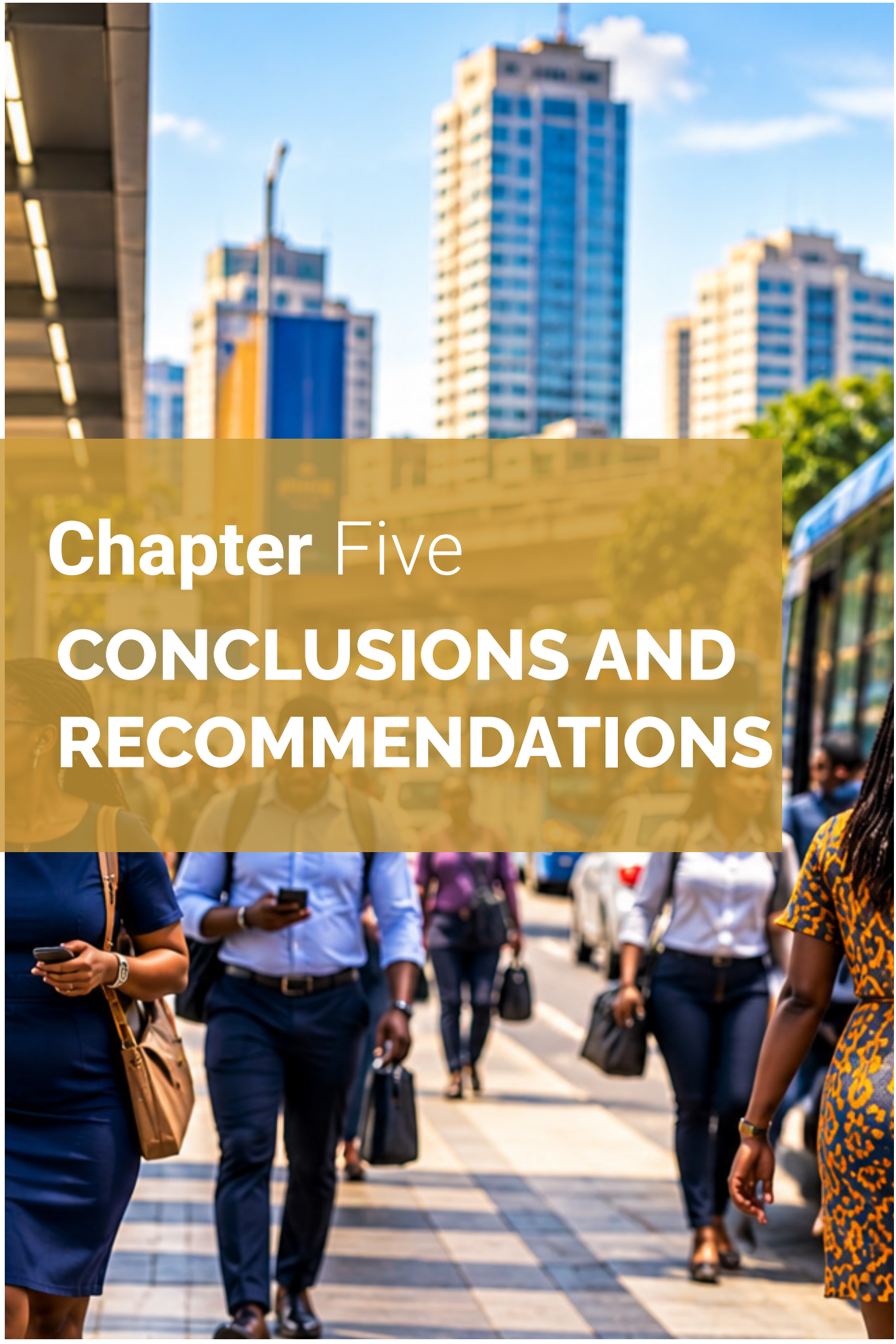


Figure 4.5. Monthly shortfall against the net living wage, 2024 and 2025 (GHS).

4.9 Chapter Summary

The analysis finds that median actual salaries fall below the net living wage in every study location. The findings therefore support the report's central proposition: prevailing entry-level pay can remain materially inadequate even when it exceeds the statutory minimum and is accepted by jobseekers.



Chapter Five

CONCLUSIONS AND RECOMMENDATIONS

5.1 Conclusion

The 2025 Ghana Living Wage Study estimates the monthly net income required for one independently living entry-level worker in four urban labour markets and compares that need with jobseeker and actual salary data. The final net living wages, inclusive of the five per cent sustainability margin, are GHS 3,840.11 for Accra/ Tema, GHS 2,682.56 for Takoradi, GHS 2,596.77 for Kumasi and GHS 2,210.34 for Cape Coast. In each city, the median actual salary falls below the benchmark.

The study's most important conclusion is that market acceptance and wage adequacy are different. In Accra/ Tema, jobseekers state expectations below the cost of a basic but decent life, particularly where unemployment pressure and limited bargaining power shape reservation wages; in Takoradi, Kumasi and Cape Coast, expectations exceed that cost. In every city, however, employers pay salaries that are common within their sector while workers remain unable to finance independent housing, food, transport, healthcare, communication and modest resilience. Expectation and adequacy are therefore distinct questions that can move independently of one another.

The enlarged evidence base strengthens this conclusion. The analysis brings together 3,257 salary observations spanning the four cities. The living-wage benchmark itself remains anchored in the established single-adult city baskets, updated with current official price and labour-market evidence. Limitations remain, but they do not overturn the consistent direction of the wage gaps.

5.2 Recommendations for Employers

5.2.1 Use the Net Living Wage as an Adequacy Reference

Employers should compare entry-level take-home pay with the city's net living-wage benchmark, not only with the statutory minimum wage or competitor salary bands. The exact indicative gross figures can support payroll costing, but employers should recalculate gross pay using their own mix of basic salary, allowances, reliefs and benefits.

5.2.2 Introduce Phased Salary-Gap Reduction

Where immediate alignment is unaffordable, organisations should quantify the gap and adopt a time-bound closing plan. Priority may be given to workers with the lowest wage coverage, followed by periodic adjustments linked to inflation, productivity and organisational capacity. Phasing should not become a reason for indefinite inaction.

5.2.3 Value Targeted Benefits

Transport support, meals, health insurance, data packages and housing assistance can address major components of the living-cost basket. Benefits should be valued at the amount of essential expenditure they genuinely replace for workers, not automatically at the employer's procurement cost. Cash and non-cash support should be presented transparently.

5.2.4 Review Regional Pay Structures

A uniform national entry-level band may produce different living standards across locations. Employers should test whether location allowances or differentiated salary floors are justified, while avoiding arbitrary regional disparities unrelated to actual costs.

5.3 Recommendations for HR Practitioners

HR teams should incorporate living-wage coverage into compensation dashboards, recruitment approvals and annual salary reviews. They should monitor the proportion of employees below the benchmark, the median shortfall, turnover among below-benchmark workers and the value of relevant benefits. Salary discussions should distinguish clearly among legal compliance, market competitiveness and material adequacy.

5.4 Recommendations for Policymakers and Social Partners

The statutory minimum wage and a living-wage benchmark serve different functions, but the distance between them should inform social dialogue. Government, organised labour and employers should strengthen access to city-sensitive price and wage evidence, support affordable worker housing and transport, and examine how tax, social protection and public services affect the disposable income required for decent living.

GSS should be supported to publish accessible expenditure microdata, comparable regional price indices and detailed labour-market wage distributions on a regular schedule. Better official data would reduce reliance on proxies and improve future city estimates.

5.5 Recommendations for L'AINE HR

L'AINE HR should institutionalise the study as an annual programme with a frozen methodology file, a protected anonymous master dataset and a documented review process. Candidate registration should make city, education, experience and minimum expected salary mandatory. Payroll extraction should retain verified city, occupation, tenure, basic, gross, net salary and material benefits in a research-safe structure.

The organisation should also use the findings in client advisory work, helping employers model the cost of closing salary gaps and design benefit packages that address the largest sources of worker expenditure.

5.6 Future Research

Future editions should conduct direct price validation in Accra/Tema, Takoradi, Kumasi and Cape Coast, particularly for rent and transport. A dedicated survey of independently living entry-level workers would allow the fixed-cost allocation to be tested directly. A separate family living-wage study should be developed rather than extending the single-adult result to dependants without evidence.

Further analysis should examine occupation, education, gender, sector, employer size, working hours and non-cash benefits, subject to adequate cell sizes and confidentiality safeguards. Longitudinal analysis could test whether living-wage gaps predict turnover, absenteeism, engagement or career mobility.

5.7 Implementation Framework

Action	Primary owner	Timing	Suggested indicator
Adopt city net living-wage reference	Boards and executive management	Annual salary cycle	Median wage coverage by city
Quantify employee gaps	HR and payroll	Quarterly	Number and share below benchmark
Design targeted benefits	HR and finance	Within 6 months	Essential cost replaced per worker
Improve source data	Operations and analytics	Continuous	Completeness of city, experience and salary fields
Refresh the benchmark	Research team	Annually	Published report and reproducible workbook

Table 5.1. Suggested implementation framework.

5.8 Regional Comparison, 2025

This section sets Accra beside Lagos, Abidjan, Nairobi and Johannesburg, the cities compared in the 2024 report. Minimum wages are the legal rates in force in 2025. No published 2025 living wage exists for these cities, so the living wage reference for each is the Anker rural benchmark for its country. These are rural figures, not city figures, and they understate what a worker in the city needs.

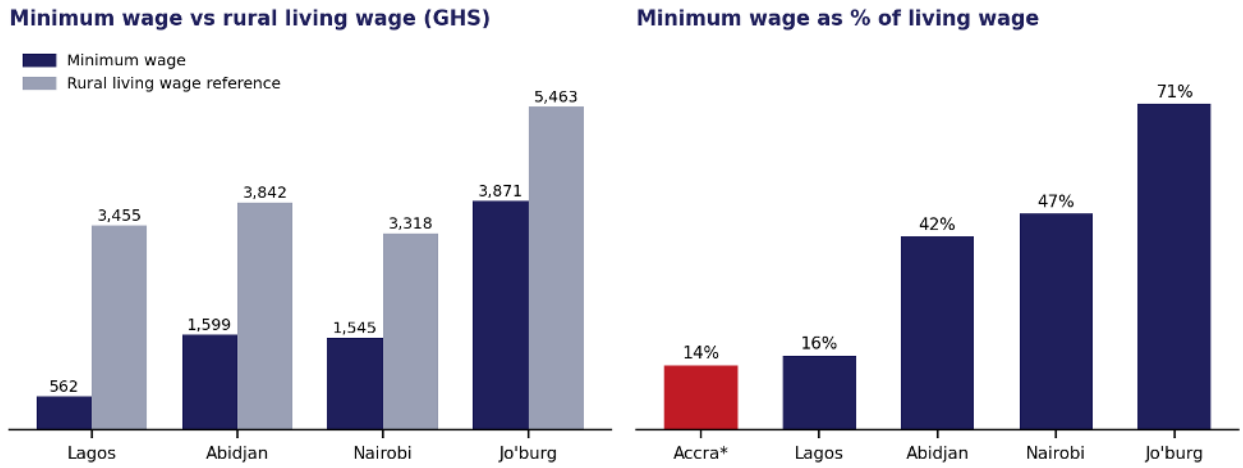


*Figure 5.1: Minimum wage and rural living wage reference (left) and minimum wage as a share of living wage (right), GHS per month, 2025. *Accra is an urban, net, single-adult figure.*

City	Minimum wage (local)	Minimum wage (GHS)	Rural living wage reference (local)	Rural living wage (GHS)	Minimum wage as % of living wage	Gap (GHS)
Accra* (urban, net)	GHS 539.19	539	GHS 3,840.11	3,840	14%	3,301
Lagos (rural ref.)	₦70,000	562	₦430,344	3,455	16%	2,893
Abidjan (rural ref.)	75,000 FCFA	1,599	180,177 FCFA	3,842	42%	2,243
Nairobi (rural ref.)	KSh 16,113.75	1,545	KSh 34,604	3,318	47%	1,773
Johannes-burg (rural ref.)	R5,613.62	3,871	R7,921	5,463	71%	1,592

Findings

In all five places the minimum wage is below the living wage reference. Accra's minimum wage of GHS 539 covers 14% of its living wage, and Lagos's GHS 562 covers 16%. These are the two lowest minimum wages in the comparison. Abidjan (GHS 1,599) and Nairobi (GHS 1,545) pay about three times as much and cover 42% and 47%. Johannesburg's GHS 3,871 is about seven times Accra's and is the only minimum wage that covers more than half of its living wage reference (71%). The gaps run from GHS 1,592 in Johannesburg to GHS 3,301 in Accra, with Lagos at GHS 2,893, Abidjan at GHS 2,243 and Nairobi at GHS 1,773.

A worker on the minimum wage would need to earn 7.1 times that wage in Accra to reach the living wage, 6.1 times in Lagos, 2.4 times in Abidjan, 2.1 times in Nairobi and 1.4 times in Johannesburg.

Interpretation

Accra's living wage (GHS 3,840) is close to the references for Abidjan (GHS 3,842), Lagos (GHS 3,455) and Nairobi (GHS 3,318), and is within about GHS 520 of all three. What sets Accra apart is therefore the minimum wage, which is about a third of Abidjan's and Nairobi's. The size of Accra's gap comes mainly from the low minimum wage rather than from a higher cost of living. Johannesburg has both the highest living wage reference (GHS 5,463, 42% above Accra's) and the highest minimum wage, and it is the only one where the minimum wage covers more than half of the reference.

Lagos's share depends on which Nigerian reference is used. Against the rural Nigeria reference of ₦430,344 the minimum wage covers 16%. Against the two Anker living wage studies in Nigeria, rural Benue (GHS 2,281) and rural Cross River (GHS 2,574), it covers 22% to 25%. Under either reference, Nigeria's minimum wage covers a smaller share of the living wage than those of Côte d'Ivoire, Kenya and South Africa.

The living wage references for Lagos, Abidjan, Nairobi and Johannesburg are Anker rural benchmarks for their countries, not city measurements, while Accra's figure is an urban, net, single-adult living wage from this study. The comparison therefore shows each minimum wage's position against a living wage reference. The minimum wages themselves are the legal 2025 rates and are directly comparable once converted.

5.9 Final Statement

A living wage is not simply a larger salary figure. It is a practical test of whether paid work permits a person to meet essential needs with dignity and modest resilience. The 2025 evidence shows that many entry-level workers remain below that standard. Closing the gap will require better pay decisions, purposeful benefits, improved public services and continued transparent measurement.

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